TOWN OF DAVIE
FLORIDA

Procurement Policies and Procedures Manual

December 05, 2022

SUMMARY OF REVISED, DELETED, OR ADDED MATERIAL

This operating procedure shall replace the Procurement Manual, Discretionary Spending, and Procurement Card enacted prior to the effective date of this Operating Procedure.

Revision	Date	Responsible Department	Description of Change

APPROVALS:

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Procurement Division

Purpose

As defined in the Town of Davie Code of Ordinances, the intent of the policies and procedures manual is to prescribe the manner in which the Town shall control the purchase of materials, supplies, services, equipment, construction and certain contractual services, and to promote these underlying principles:

- To obtain the materials, supplies, services, equipment, construction, and certain contractual services required by Town departments and divisions (hereafter referred to departments) in a cost effective and responsive manner in order for those departments to better serve the Town.
- To uphold the highest standards and best practices through adoption and adherence with public procurement profession values and guiding principles of accountability, ethics, impartiality, professionalism, service, and transparency.
- To provide fair and equitable treatment of all who transact business with the Town.
- To maximize the procurement value of public funds in the procurement of goods and services.
- To provide safeguards for the quality and integrity of the Town's procurement process.
- To maintain a high ethical standard for all officers and employees of the Town in connection with the procurement process.
- To require all parties involved in negotiation, performance, and/or administration of Town contracts to act in good faith.

Mission Statement

The mission of the Town of Davie's Procurement Division is to procure materials, supplies, services, equipment, construction, and certain contractual services in an efficient and cost-effective manner while providing fair and open competition. The Procurement Division is committed to provide exceptional customer service to all Town departments and the public.

Values Statement

The Procurement Division is committed to the fair, equitable, and timely acquisition of purchase of materials, supplies, services, equipment, construction, and certain contractual services for the Town of Davie, and to cultivating an ethical and professional environment. The Division embraces the Values and Guiding Principles of Public Procurement, as defined by the National Institute of Governmental Procurement: The Institute, which are:

- **Accountability**: Taking ownership and Procurement being responsible to stakeholders for our actions…essential to preserve the public trust and protect the public interest.
- **Ethics:** Acting in a manner true to these values…essential to preserve the public's trust.

- **Impartiality**: Unbiased decision-making and action…essential to ensure fairness for the public good.
- **Professionalism**: Upholding high standards of job performance and ethical behavior…essential to balance diverse public interests.
- **Service**: Obligation to assist stakeholders…essential to support the public good.
- **Transparency**: Easily accessible and understandable policies and processes…essential to demonstrate responsible use of public funds.

This manual is effective immediately upon issuance and supersedes all previously issued procurement policies, manuals, instructions, or directives. The Procurement Manual is subject to periodic revision as an administrative policy subject to the final approval of the Town Administrator or designee. The Procurement staff encourages any suggestions to improve the effectiveness of the procurement process.

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Introduction

The purpose of this Procurement Policies and Procedures Manual (Manual) is to set forth the conduct of procurement activity in the Town of Davie (the Town). It is important to note that failure of a Town employee to comply with this manual may result in disciplinary action.

The Procurement Division is responsible for all purchases of goods, supplies, services and construction by all departments, professional staff, elected and appointed public officials, and any and all agents and entities under the legislative authority of the Town of Davie Council, except as provided in the Town Code (Code of Ordinance).

The Procurement Division is responsible for providing direction and guidance in all phases of the procurement cycle, including providing direction and guidance to departments in all matters relating to pre-requisition examination of possible supply sources and alternative product investigations, specification preparation, inspection and receiving practices, quality control, order follow-up, materials expediting, and the enforcement of the terms and conditions of purchase orders and contracts issued by the Town.

The intent of this manual is to provide basic orientation information for the operational activities of the Procurement Division and to provide guidance for all Town employees. It is not intended to be a detailed guide describing each aspect the Procurement Division's internal specific procurement procedures. However, this manual is intended to provide sufficient procedural detail to enable Town departments, other governmental entities, and the vendor community to:

1. be fully aware of, and comply with, the Town procurement policies, and
2. effectively participate in the Town's procurement program.

Order of Precedence

This Manual acts as a supplement to the Town Code as well as other Procurement Policies and Procedures. If there is a discrepancy between the various documents, the order of precedence is as follows: federal and state law; Town Charter; Code; procurement policies and procedures; and this Manual.

Full and Open Competition

The basic procurement policies of the Town are conducted based on full and open competition to the greatest extent possible, with award being made to:

1. the lowest responsive responsible bidder under Invitations to Bid;
2. the best value proposer under Requests for Proposals that involve pricing as a competitive selection factor;
3. the top ranked technical proposer(s) with which a fair and reasonable price may subsequently be negotiated under solicitations that do not involve pricing as a predominate competitive selection factor;

4. that all specifications, statements or scopes of work included in the Town's procurement actions accurately describe the essential needs of the Town, and contain no arbitrary requirements that limit competition or increase cost;
5. that each procurement action is conducted in accordance with the best interests of the Town, and with the highest level of integrity and fairness to all involved parties throughout the procurement cycle;
6. that all Town procurement operations be conducted in compliance with federal, state, and local laws as applicable and ensure the highest degree of ethical standards; and
7. that transparency and community inclusion be sustained throughout the procurement process.

Relevant Florida Statutes:

F.S. 287.055 – Consultants' Competitive Negotiation Act (CCNA)

F.S. 287.017 – Purchasing Categories, Threshold Amounts

F.S. 255.0525 – Requirements for Public Works Projects

F.S. 255.20 – Requirements for Contracts for Electrical Work over $75,000

F.S. 218.391 – Auditor Selection Procedures

F.S. 713.01 – Performance and Payment Bond Requirements

F.S. 119 – Public Records

Other Resources:

Guide to Purchasing, Requisitions, Purchase Orders, and Invoice Batching

Guide to Invoice Batching Related to Travel

Vendor Information

The Town does not require vendors or any firm, individual or organization to register with the Town to receive bids. A vendor will be required to complete a registration package when submitting a bid package or when the Town is going to pay a vendor (e.g., check, ACH, wire or other).

How to do Business with the Town of Davie

The Town contracts with various vendors for different types of goods, supplies, services and construction for the benefit of the constituents of the Town of Davie. The Procurement Division is the Town's central procurement unit with the responsibility for managing the Town's procurement and contracting processes. The Town welcomes and encourages qualified vendors and contractors, including local businesses, minority-owned firms, small business enterprises, veteran-owned companies, to respond to solicitations by submitting offers and proposals.

The Town of Davie formal solicitations are advertised in the newspaper and are also available on the Town's webpage and sent out to registered vendors through DemandStar. When a vendor is awarded a contract with the Town, the Procurement Division will register the vendor in the financial system for invoice processing and payment.

The Town awards contracts and agreements to responsible and responsive bidders and proposers, and whose offers or proposals represent the lowest price and/or best value for the Town. The Town has a strict No Gifts Policy, observes a Cone of Silence on all formal solicitations, and has a Vendor Code of Conduct, which outline expected ethical and professional behavior. The Town also reviews vendor performance on Town contracts, and other public entity contracts, in arriving at a determination if a bidder or proposer meets the definition of a responsible vendor and may be recommended for award.

For more information on the Town's procurement policies and procedures, and to learn more about doing business with the Town of Davie, please visit the Town's website at https://www.davie-fl.gov/411/Procurement, email at procurement@davie-fl.gov, or telephone (954) 797-1016 to speak directly with the Procurement Division.

Vendor Code of Conduct

1. A vendor, as applied herein, means an actual or potential supplier of an item, service, or construction (Code of Ordinance).
2. All vendor relationships shall be based solely on sound business and ethical practices and shall be conducted in the best interest of the Town of Davie and in compliance with all relevant Town, County, State or Federal legislation, rules, regulations, and guidelines.
3. It shall be a breach of ethical standards for any person to offer, give, or agree to give any Town employee a gratuity, an offer of employment or any other benefit in connection with any decision, approval, disapproval, recommendation, specification, standard, solicitation or contract.

4. It shall be a breach of ethical standards for any person or firm to present false documents or falsely represent its firm or its positions.
5. In connection with the work they are doing for the Town, Vendors and Vendors' Employees must follow the law and regulations applicable to work they perform on behalf of the Town.
6. All records created or compiled by a Vendor or the Vendor's employees and provided to the Town must be accurate and complete. Such records should contain no misrepresentations or material omissions. This obligation applies to a wide range of records, including invoices or bills; reports of test results; or a description of the means by which an entity is meeting goals as to participation in Town contracting.
7. If a Vendor cannot say for certain that a set of records is accurate and complete, it must explain why that is the case when the records are provided to the Town. Or, if a Vendor determines that a set of records previously provided to the Town was not, in fact, accurate and complete, the Vendor must immediately explain why — and correct the records if requested to do so by the Town.
8. Vendors shall exercise reasonable care and diligence to prevent any actions or conditions that could result in a conflict with the Town's best interests. This obligation shall apply to Vendors' employees, agents, subcontractors, and third parties associated with accomplishing work for the Town
9. All Vendors or their representatives must comply with the Town's Cone of Silence in order to avoid any potential violations (Cone of Silence).
10. A breach of these standards may result in suspension and/or debarment for consideration of awards.

Vendor Performance

Upon completion of any transaction or contract, the using department may complete the Vendor Performance Form to rate the performance of the vendor(s) involved. The using department will transmit the completed performance form to the Procurement Division. The Procurement Division will compile the information, send a copy of the completed Vendor Performance Form to the vendor, and make it available on a Town server. The vendor is given an opportunity to respond to the comments on the Vendor Performance Form, by completing the last page and sending it back to the Procurement Division for review. This information can be used as an evaluation tool for future recommendations.

Disbarment of a Vendor

A vendor who is to be formally removed from the vendor eligibility list and who is to be subsequently barred from doing future business with the Town will be notified in writing by the Procurement Manager through the Town Administrator's Department. Said written notification will state the reason for disbarment and the length of time of its effectiveness, which shall be thirty-six months or less from the date of notification.

A vendor who receives a notice of disbarment may request, in writing, an appointment with the Procurement Manager and the Town Administrator for the purpose of reviewing the decision. If the review does not satisfactorily resolve the issue, the vendor may then petition to appear at a

formal, session of the Town's Special Magistrate to further defend their position. Said petition to appear must be directed to the Town Attorney's Office for scheduling.

If a vendor's name is removed from the list of vendors eligible to receive a bid opportunity no Town department is able to continue doing business with said vendor. A vendor may be removed from the vendor eligibility list for any of the following reasons:

- Conviction of a criminal offense relative to securing a public or private contract.
- Conviction of a violation of a State or Federal anti-trust statute or act relating to the submission of a bid or a proposal.
- Conviction of a violation of a State or Federal Statute which indicates a lack of business integrity or honesty, e.g., theft, forgery, embezzlement.
- A serious violation of a contract provision, e.g., a previous failure to perform or unsatisfactory performance associated with an awarded contract or bid.
- A violation of ethics, as defined within this manual or the Florida State Code of Ethics.
- Conviction of or evidence of collusion by a respondent or a subsidiary in the submission of a response to the Town, other government agency or business in connection with a solicited RFP or bid.
- Any other reason that would affect a vendor's responsibility to the Town.

Reinstatement

A person or corporation may be reinstated to do business with the Town under the following conditions:

1. Discovery of new and material evidence not previously available
2. Dismissal of indictment or reversal of conviction, or
3. Bona fide change in ownership or management sufficient to justify a finding of present responsibility.

The request of reinstatement shall be forwarded in writing to the Procurement Manager. The Town Administrator shall determine whether to reinstate based on written submission of evidence to one or more of the above conditions from the Procurement Manager

Ethical Standards for Procurement Activities

Policy Statement

It is the Town's policy to promote government integrity and guard against the appearance of impropriety by prescribing the following essential standards of ethical conduct. Please refer to the Town's Code of Ordinance for a detailed description of Ethics in Public Contracting (Code of Ordinances). The standards of ethical conduct include, but are not limited to the following:

1. If a conflict between the standards identified herein and the Town's Code exists, the Town's Code shall prevail.
2. Any attempt to realize personal gain through public employment by conduct inconsistent with the proper discharge of the Town employee's, appointed representatives of the Town, or elected official's duties is a breach of a public trust.
3. Any effort to influence any public employee, appointed representative, or elected official to breach the standards of ethical conduct set forth in this section is a breach of public trust.
4. It shall be a violation of this section for any employee to order, contract for or purchase any goods, supplies, services or construction except in strict compliance with all procurement procedures as provided herein or as established by administrative policy of the Town.
5. No Town official or employee shall solicit or accept anything of value from any vendor or bidder, including a gift, loan, reward, promise of future employment, favor or service, based upon any understanding that the actions of that official or employee would be influenced thereby.
6. No Town official or employee shall be retained, or shall retain a person, to solicit or secure a Town contract upon an agreement or understanding for a commission, percentage, brokerage or contingent fee.
7. No Town official or employee shall disclose or use any information not available to members of the general public and gained by reason of his official position for his or her personal gain or benefit or for the personal gain or benefit of any other person or business entity.
8. No bidder, supplier, vendor or contractor shall solicit or provide anything of value to any Town official or employee, except otherwise identified in the Ethics in Public Contracting code.
9. No Town officer, agent, employee nor any elected public official acting in his or her official capacity shall directly or indirectly purchase, rent or lease any realty, goods or services for the Town from any business entity of which the officer or employee or the officer's or employee's spouse or child is an officer, partner, director or proprietor or in which the official or employee or the officer's or employee's spouse or child, or any combination of them, has a material interest. No Town official or employee, acting in a private capacity, shall rent, lease or sell any realty, goods or services to the Town.
10. No Town officer, agent or employee or his or her spouse or child shall, at any time, accept any compensation, payment or thing of value when that person knows, or with the exercise of reasonable care, should know, that it was given to influence action in which the official or employee was expected to participate in his or her official capacity.

11. No Town officer, agent or employee through outside employment or contractual relationship shall have any financial interests in the profits of any contract, service or other work performed by the Town; nor personally profit directly or indirectly from any contract, purchase, sale or service between the Town and any person or company through a relationship with any business entity which is doing business with the Town. This shall, however, not be construed to prevent any officer, agent or employee from accepting other employment or following any pursuit which does not interfere with the full and faithful discharge of the officer or employee's duties in his or her employment with the Town.
12. During the solicitation of any bid or proposal, any firm and its agents, officers or employees who intend to submit, or who have submitted, bids or proposals shall not lobby, either individually or collectively, any Town Council members, candidates for Town Council or any employee of the Town. Contact should only be made through regularly scheduled Council meetings, or meetings scheduled through the Procurement Division for purposes of obtaining additional or clarifying information. Any action, including meals, invitations, gifts or gratuities by a submitting firm, its officers, agents, or employees shall be within the purview of this prohibition and shall result in the immediate disqualification of that firm from further consideration.
13. During a formal solicitation process, contact with personnel of the Town other than the Procurement Manager or designated representative regarding any such solicitation may be grounds for elimination from the selection process.

Discovery of an Actual or Potential Conflict of Interest

Upon discovery of an actual or potential conflict of interest, an employee shall promptly withdraw from further participation in the process and notify the Procurement Manager. The Procurement Manager will consult with the Town Attorney for an opinion whenever there is a question of, or an appearance of, a conflict.

Unlawful Purchases

If any employee contracts for any supplies, materials, equipment, or contractual services contrary to the procurement policies as described in this Policies and Manual and provided in Town Code, such purchase or contract may be void and of no effect, and the cost shall not constitute a legal charge against the Town.

Cone of Silence

According to the Town of Davie Code (Cone of Silence), a cone of silence shall be in effect during all formal competitive solicitation process commencing with the advertisement for the competitive solicitation, or during such other procurement activities as declared by the Town Council, and shall terminate at the time the Town Council or Town Administrator takes final action or gives final approval of a contract, rejects all bids or responses to the competitive solicitation, or takes other action which ends the competitive solicitation process.

In general, the Cone of Silence limits and requires written documentation of communications between potential bidders, proposers on Town solicitations, or their representatives from contacting any Town professional staff, elected and appointed public officials, and any and all entities under the legislative authority of the Town, except as provided in the Town Code or described herein.

The Cone of Silence is defined to mean a prohibition on:

1. Any communication regarding a particular request for proposals ("RFP"), request for qualifications ("RFQ"), request for letters of interest ("RFLI"), invitation to bids ("ITB"), invitation to negotiate ("ITN") or any other advertised solicitation between a potential proposer, offeror, respondent, bidder, lobbyist, or consultant and the Town's professional staff including, but not limited to, the Town Administrator and his or her staff; employees of the user-department; or user-agency involved in the solicitation process;
2. Any communication regarding a particular RFP, RFQ, RFLI, ITB, ITN or any other advertised solicitation between the Town Council members or their respective staffs and any member of the Town's professional staff including, but not limited to, the Town Administrator and his or her staff or the Procurement Manager and his or her designee;
3. Any communication regarding a particular RFP, RFQ, RFLI ITB, ITN or any other advertised solicitation between a potential proposer, offeror, respondent, bidder, lobbyist, or consultant and any member of the selection/evaluation committee;
4. Any communication regarding a particular RFP, RFQ, RFLI ITB, ITN or any other advertised solicitation between Town Council members or their respective staffs and any member of the selection/evaluation committee;
5. Any communication regarding a particular RFP, RFQ, RFLI ITB, ITN or any other advertised solicitation between a potential proposer, offeror, respondent, bidder, lobbyist, or consultant and Town Council members, and their respective staffs; and
6. Any communication regarding a particular RFP, RFQ, RFLI ITB, ITN or any other advertised solicitation between any member of the Town's professional staff, including but not limited to the Town Administrator and his or her staff, and any member of the selection/evaluation committee.

Notwithstanding the foregoing, the Cone of Silence shall not apply to:

1. Duly noticed pre-bid/proposal conferences and site inspections;
2. Duly noticed site visits to determine the competency of bidders/proposers regarding a particular solicitation during the time period between the opening of bids/receipt of

proposals and the time the Town Administrator makes his or her written recommendation to the Town Council;

3. Emergency procurements;
4. Communications with the Town attorney and his or her staff;
5. Communications regarding a particular RFP, RFQ, RFLI, ITB, ITN or any other advertised solicitation between a potential proposer, offeror, respondent, bidder, lobbyist or consultant and the Procurement Manager, its staff, or any Town procurement agent, or its staff, responsible for administering the procurement process for such solicitation, prior to bid opening date or receipt of proposals, provided the communication is limited strictly to matters of process or procedure already contained in the corresponding solicitation;
6. Communications regarding a particular RFP, RFQ, RFLI ITB, ITN or any other advertised solicitation between the Procurement Manager, its staff, or any Town procurement agent, or its staff responsible for administering the procurement process for such solicitation and a member of the corresponding selection/evaluation committee, provided the communication is limited strictly to matters of process or procedure already contained in the corresponding solicitation;
7. Sole source procurements;
8. Oral presentations before selection/evaluation committees and communications occurring during duly noticed meetings of selection/evaluation committees;
9. Competitive negotiations;
10. Public presentations made to the Town Council and communications occurring during any duly noticed public meeting;
11. Communications in writing or by e-mail at any time with any Town employee, official, or member of the Town Council unless specifically prohibited by the applicable RFP, RFQ, RFI, ITB, ITN or other advertised solicitation. The Town shall file a copy of any written communications with the Town Administrator and/or designee;
12. Communications in connection with the collection of industry comments or the performance of market research regarding a particular RFP, RFQ, RFLI ITB, ITN or any other advertised solicitation by the Procurement Manager or designee;
13. Contract negotiations; and
14. Any portion of meetings that are exempted by and held fully in accordance with the provisions of Florida Sunshine Laws (F.S. § 286.0113, as amended).

Procedure.

A cone of silence shall be imposed upon each RFP, RFQ, RFLI ITB, ITN or any other advertised solicitation when the solicitation is advertised consistent with the policies of the Town's Procurement Division. At the time of imposition of the cone of silence, the Town Administrator or his or her designee shall provide for public notice of the cone of silence.

The Procurement Division may issue a formal written addendum in response to any inquiry received, prior to the close of the solicitation period, which changes, adds, or clarifies the terms, provisions, or requirements of the solicitation. The vendor should not rely on any representation, statement, or explanation whether written or verbal, other than those made in the solicitation document or in the addenda issued. Where there appears to be a conflict between the solicitation and any addenda, the last addendum issued shall prevail.

It is the vendor's responsibility to ensure receipt of all addenda, and any accompanying documentation.

Penalties.

Violation of the cone of silence by a particular bidder or proposer shall render the award to said bidder or proposer voidable by the Town Council.

A violation of this section by a particular bidder, proposer, offeror, respondent, lobbyist or consultant shall subject said bidder, proposer, offeror, respondent, lobbyist or consultant to potential debarment pursuant to the Town of Davie Code. In addition to any other penalty provided by law, violation of any provision of the Cone of Silence by a Town employee shall subject said employee to disciplinary action up to and including dismissal.

Sales Tax Exemption

The Town of Davie is exempt from paying Florida State Sales Tax. All employees who purchase goods, supplies, services and construction on behalf of the Town shall supply each vendor, if required by the vendor, with a copy of the Town's tax exemption certificate or number to avoid being assessed state sales taxes. Employees will not be reimbursed for the payment of state sales tax, except for travel outside the State of Florida or an unusual circumstance that would need to be documented and approved by the Town Administrator, or designee

The Sales Tax Exemption privilege is for the purchase of goods, supplies, services, and construction exclusively for use of the Town of Davie. Town employees are expressly prohibited from using the Town's sales tax exemption for personal uses, and if a Town employee is found to use the Town's sales tax exemption for personal use, the Town employee shall be subject to disciplinary action up to and including dismissal.

Sustainable Procurement Policy

Background

The Town of Davie is committed to the preservation of the Town's rural heritage and raising awareness about climate change. Therefore, community-wide action is necessary to maintain environmental conservation and improve the community. To continue supporting this goal, the Procurement Division recognizes its responsibility to minimize negative impacts on human health and the environment while supporting a diverse, equitable, and vibrant community and economy. The Town recognizes that the types of products and services the Town buys have inherent social, human health, environmental and economic impacts, and that the Town should make procurement decisions that embody the Town's commitment to sustainability whenever possible.

Purpose

This Sustainable Procurement Policy will complement and strengthen our commitment to sustainability and intends to:

- Identify those sustainability factors that shall be incorporated into procurement decisions, when appropriate;
- Provide implementation guidance;
- Empower employees to be innovative and demonstrate leadership by incorporating sustainability factors into procurement decisions;
- Complement Town-wide and department-specific sustainability goals and related policies; and communicate the Town's commitment to sustainable procurement;
- Encourage vendors to promote products and services that they offer which are most suited to the Town sustainability principles;
- Reduce the spectrum of environmental impacts from the Town's use of products, including reduction of greenhouse gas emissions, reduction of landfill waste, health and safety risks, and resource consumption;
- Communicate the Town's commitment to sustainable procurement, by modeling the best product and services choices to citizens, other public agencies and private companies;
- Reduce the environmental impacts of materials acquired for use in the operations, maintenance and upgrades of buildings, new building construction; and
- Facilitate the reduction of waste generated by building occupants that is hauled to and disposed of in landfills or incineration facilities.

General Policy Statement

Town employees will procure materials, products or services in a manner that integrate fiscal responsibility, social equity, and community and environmental stewardship whenever possible. Each Town department shall comply with this policy and actively encourage department decisions that reflect the policy objectives. The Procurement Division shall actively promote and encourage product and service acquisitions compliant to the policies and guidelines adopted herein.

Sustainability Factors
Town employees shall incorporate whenever possible the following factors when writing specifications for, or procuring materials, products, or services.

1. Environmental factors to be considered include, but are not limited to, the life cycle assessment of:
    - Pollutant releases
    - Toxicity, especially the use of persistent, bio-accumulative, and toxic (PBT) chemicals
    - Waste generation
    - Water efficiency
    - Greenhouse gas emissions
    - Energy efficiency and consumption
    - Use of renewable energy
    - Depletion of natural resources
    - Impacts on biodiversity
    - Recyclability
    - Recycled content
2. Social equity factors to be considered include, but are not limited to:
    - Human health impacts
    - Environmental justice (disproportionate environmental and health impacts on different population groups)
    - Fair labor practices, health and retirement benefits, safety, livable wages, and worker rights
    - Use of local businesses and vendors whenever possible
    - Use of Small Disadvantaged Minority and Women Owned Businesses where appropriate.
3. Fiscal factors to be considered include, but are not limited to:
    - Use reduction, purchase only necessary products
    - Product performance, quality, and durability
    - Cost (dollar and non-dollar)
    - Life-cycle cost assessment, lowest total cost
    - Leveraging buying power
    - Impact on staff time and labor, including operational and maintenance requirements
    - Long-term financial/market changes.

While not all factors will be incorporated into every purchase, it is the intent of this policy that Town employees will make a good faith effort to incorporate and balance these factors to the maximum extent possible.

Procurement Organization and Authority

General Information and Policies

The Procurement Division is the central procurement agency of the Town of Davie and is responsible for all purchases of goods, supplies, services and construction by all Town departments, professional staff, elected and appointed public officials, and any and all entities under the legislative authority of the Town of Davie Council, except as provided in the Town Code.

In the event of a conflict between the provisions of this manual and any applicable federal, state, local law, or the Town of Davie Code, procurement policies and procedures, the latter shall prevail.

It is the responsibility of the Town Administrator, in consultation with the Procurement Manager, to issue and maintain procurement policies, procedures and guidelines for the Town. It is also the responsibility of the Procurement Division to issue solicitations at the authorization levels established within the Code of Ordinances.

The Procurement Manager shall have responsibility for the general supervision of the Procurement Division and shall perform all duties required and shall act as the principal public procurement officer for the Town, responsible for the procurement of materials, supplies, services, equipment, construction and certain contractual services in accordance with the Town Code (https://library.municode.com/fl/davie/codes/code_of_ordinances?nodeId=PTIICOOR_CH2AD_ARTVIIIPR_S2-319REAU), as well as the disposal of excess equipment or supplies.

The Procurement Division's goal is to provide the Town with the required goods, supplies, services and construction in the most cost-effective manner and at the time and place necessary to help ensure that the Town provides the public timely and quality service.

To obtain the best value for the taxpayer and to promote equitable economic participation by all segments of the community, the Procurement Division will promote competitive bidding process, when possible, with the award being made to the lowest, responsive and responsible bidder. The Town's Code of Ordinances establish procurement procedures for the competitive bidding process and associated alternative processes. These procedures also allow for the use of other than full and open competition should it be determined to be in the best interest of the Town.

In order to fulfill the requirements of the Town Code, the Procurement Division has the authority to review all purchase requisitions within the following guidelines:

1. The Procurement staff is authorized by the Town Administrator to question and obtain additional information necessary to properly evaluate the specifications on all requests for sole source, requests for supplies of a quantity that are greater or less than required, requests where materials seem inconsistent with the requirement, requests that do not conform to Town standards, requests without proper authorization, or any other requests that require clarification. However, the Procurement Division will not materially alter

specifications without the consent of the initiating department.

2. Open Purchase Orders are primarily used to pay for construction projects, where progress payments are required, and monthly invoices for rentals and annual maintenance agreements.

    Examples: Rental of equipment such as photocopy machines or any other type of equipment for which the department is billed periodically throughout the year and maintenance agreements for alarm systems, fire extinguishers, pest control, etc.

3. Procurement Cards are used to pay for small dollar value items purchased throughout the year. This method covers items that cannot be planned for in advance. Transaction limits, monthly limits and commodity code limits are established for each cardholder. The Procurement Card may be used to pay for larger purchases as authorized by the Procurement Manager, when it is in the best interest of the Town.

    Examples: Procuring from local vendors for miscellaneous supplies in small quantities such as small tools, fasteners, auto parts, and food supplies.

Notice of Inquiry (NOI)

All procurements shall be made in compliance with Florida Statutes, the Town Code of Ordinances, these procurement guidelines and public procurement best practices. No person may make any purchase utilizing Town funds unless specifically authorized to do so by the Town Code, resolution, or designation by the Town Council, Town Administrator, Procurement Manager, or their designees. Payment for any unauthorized purchase will be the responsibility of the person placing the order.

The Procurement Division reviews all transaction to ensure adherence to the Town's policies, procedures and compliance with contractual agreements. If a Buyer or anyone else discovers an abnormality or irregularity in the procurement, they will create a NOI and send it to the department for further information. If an infraction of the policies or procedure has occurred, it is the department's responsibility to stipulate what happened or why the policy was not adhered to and what will be done to prevent further occurrences in the future. The department will sign and send the document to the Procurement Manager for review before the Procurement Division will process the order or payment.

Procurement Thresholds and Processes

The Town Administrator, as authorized by the Town Council, has delegated to the Procurement Manager the authority to procure materials and services for the Town of Davie that are within the guidelines set forth by the Town Council. All purchases exceeding $2,500 are handled by the Procurement Division unless the use of a P-Card is authorized up to $5,000.

Prohibition Against Subdivision or Splitting Transactions

No contract or purchase shall be subdivided to avoid the requirements of the Procurement Policy & Procedures Manual or Town Code. Procurement authority is based on the total cost of goods and/or service. Splitting an order so that the total cost is within one's spending authority is prohibited.

Procurement Thresholds

The purchase process is controlled by two components: (1) established policy dollar amount and (2) approving authority. Dollar limit categories apply to the total amount to be purchased in a single transaction and/or the total amount to be expended over the fiscal year term. Purchase approval thresholds apply to all Town employees (i.e. Department Director, Procurement Manager, Town Administrator, or Town Council). All required purchase approvals will be noted on all Procurement Division forms including Purchase Requisitions, Invoice Batches, Procurement Cards, and all Petty Cash.

The following requirements pertain to all purchases (including item's that are exempt):

$0 – 5,000	Minimum of One (1) Quote Required
$5,000.01 - $35,000	Informal Bidding Process or Piggyback / COOP
$35,000.01 - $65,000	Formal solicitation w/Town Administrator Approval
Over $65,000.01	Formal solicitation requires Town Council Approval

If fewer than three (3) quotations are received, the Procurement Manager or designee may consider those quotations received; however, the Procurement Manager or designee reserves the right to validate the availability of suppliers for an item or service.

Documentation Required:
Individuals receiving verbal quotations shall, at a minimum, transcribe all verbal quotation information on the transaction document or in the note section of the ERP System or P-Card system which shall be made a part of the quotation record. Written quotations under $5,000 may be submitted electronically through the Town's general ledger system or the Town's Procurement Card software system. When using a Town procurement card for purchases under $5,000, a clear understandable receipt describing what was purchased shall serve as acknowledgement of the one (1) quotation requirement.

All quotations obtained by the initiating department must be entered in the documents section of the purchase requisition or the Town's Procurement Card software system. Documentation must

be submitted to the Procurement Division as backup. For purchases over $5,000 as indicated above, specifications must be submitted to the Procurement Division in order to facilitate informal or formal quotations to be issued. (The Procurement Division may, at its discretion, solicit quotations for any amount when determined to be in the best interest of the Town; or may delegate the authority to solicit quotations as appropriate.)

Category One: Purchases Equal to or Less than $5,000
Single or multiple purchases of goods, supplies, services, and construction that are equal to or less than $5,000 require departmental approval and may be made using the Town of Davie's procurement card. Items exceeding $2,500 without a procurement card must have a purchase order, check request (up to $2,500), or petty cash (up to $100). These purchases are to be made from vendors who supply the item at a reasonable price and with an appropriate quality level, using sound procurement practices and common sense. These procurement practices may include, but are not limited to, verbal quotations or written records of telephone/e-mail quotations.

A minimum of one quote either verbal or written is required when reasonable. Items from grocery stores, major retailers, utilities and telecom, animal care and boarding, hotels, memberships, online purchase or under a contract that can serve as the basis for pricing do not require written quotations. It is always best practice to try to obtain a quote, when possible, to ensure that you know what you are paying for before authorizing any service.

For purchases that are under $5,000 and on a contract, the using department shall ensure that the Town is being provided proper pricing before ordering any goods or services.

Each department may establish more stringent rules to govern purchases up to $5,000, as they deem appropriate.

Category Two: Purchases Greater than $5,000 up to $35,000
The Procurement Manager or designee shall have the authority to approve and execute all procurement-related items including, but not limited to, expenses, contracts, contract amendments and contract renewals, purchase orders, informal solicitations, and transactions in the amount of Category Two, as defined in the F.S. § 287.017(2) or less. The Procurement Manager may process purchase orders or other documents as assigned in excess of Category Two, as defined in the F.S. § 287.017(2) upon approval of Town Administrator or Town Council.

For determining the above threshold, the Procurement Manager approval is required for:

- any single transaction up to Category Two (up to $35,000), as defined in the F.S. § 287.017(2), or
- multiple or as needed transactions with the same vendor where the anticipated expenditure will be up to Category Two (up to $35,000), as defined in the F.S. § 287.017(2) in any given fiscal year.

Category Three: Purchases Greater than or Equal to $35,000 but less than $65,000
The Town Administrator or designee shall have the authority to approve and execute all procurement-related items including, but not limited to, expenses, contracts, contract amendments and contract renewals up to and equal to the amount of the threshold for procurement Category

Three, as defined in the F.S. § 287.017(3) or in excess of Category Three, as defined in the F.S. § 287.017(3) upon approval of Town Council.

For determining the above threshold, the Town Administrator approval is required for any single transaction between Category Two, as defined in the F.S. § 287.017(2) and Category Three as defined by F.S. § 287.017(3), or multiple or as needed transactions with the same vendor where the anticipated expenditure will be between Category Two, as defined in the F.S. § 287.017(2) and Category Three, as defined in the F.S. § 287.017(3) in any given fiscal year.

Category Four: Purchases Greater than or Equal to $65,000.01 F.S. § 287.017(3)
The Mayor or designee shall have the authority to execute all procurement-related expenses, including, but not limited to, contracts, contract amendments and contract renewals in excess of the threshold for procurement Category Three, as defined in the F.S. § 287.017(3) after Town Council approval. Such execution shall be attested to by the Town Clerk. Execution of short-term leases and other procurement-related contract amendments and contract renewals in excess of the threshold for procurement Category Three may be delegated to the Town Administrator or designee for execution.

For determining the above threshold, the Town Council approval is required for any single transaction that exceeds Category Three, as defined in the F.S. § 287.017(3), or multiple or as needed transactions with the same vendor where the anticipated expenditure will exceed Category Three, as defined in the F.S. § 287.017(3) in any given fiscal year.

Requisitions and Purchase Orders

For a majority of procurements within the Town, the process is relatively straight forward. Most will start off with the using department entering a requisition to purchase certain items. This will be followed by the issuance of a purchase order (PO). Once all the approvals have been received, the PO allows using departments to acquire the items. When the items are received and are checked against the PO, using departments then begin the payment process (invoicing). This section of the manual addresses the requisition and purchase order process and concludes with the process used to pay invoices.

Requisitions

Requisitions serve to inform the Procurement Division of the needs of a specific user department and to correctly define the material or service requested. Please note that a requisition is not an order, but merely the request for the Procurement Division to procure the item(s) or service(s) in accordance with established Town procurement policies and procedures.

The requesting department should anticipate their requirements and submit requisitions allowing ample time for the Procurement Division to complete actions to secure the items needed at the time required. Rush or emergency orders shall be authorized on a case-by-case basis to avoid additional costs affiliated with expediting delivery.

Who Prepares the Requisition?
Requisitions shall originate in the using department at the level where the purchase is to be used and electronically sent to the Procurement Division after receiving approval by the Department Director or his/her designee. Department Directors may, at their discretion, designate certain other employees to approve purchase requisitions. To accomplish this, the designated person would need a profile change. Profile changes are done by the systems administrator, which is through the Town's IT Department but must first be approved by the Budget and Finance Director or designee. Items that are Fixed Assets will be reviewed by the Fixed Asset Specialist prior to being sent to the Buyers to ensure that the description and quantities are properly listed on the requisition.

Data Entry of Requisition
A properly prepared requisition must, at a minimum, contain the following information:

1. Department: Department requesting the Requisition
2. Vendor: This field is completed by the using department.
3. Description: **Detailed descriptions are required** for the Department Director, the Procurement staff, and the vendor. Manufacturer's numbers or stock numbers are not to take the place of a description. Unclear descriptions will cause delays in processing the purchase order (PO).
4. Category: Identifies the type of requisition being created, Standard or Blanket.
5. Form Type: Only Standard form type will be allowed.
6. G/L Date: Date the requisition is being initiated.
7. Deliver by Date: Reasonable date required for delivery or date vendor promised as a delivery date.

8. Resolution Number: This area is where the resolution number, bid number, sole/single source information, etc. should be included if applicable.
9. Bill to Location: Only Account Payable will be allowed.
10. Item: This area is a drop-down menu of common item categories. The department should select the item nearest to the purchase being made. If the item is a Fixed Asset, it must be designated as a FA.
11. Quantity: The amount of an item requested.
12. Unit of Measure: This area is where the correct unit of measure (EA, FT, PT) can be selected from a drop-down menu.
13. List Price Per Unit: The amount of a single unit or the complete service will cost. The system will extend the unit cost by the quantity listed to create the extended cost. This is the amount the using department will be charged for this purchase. It is important that the quantity and the unit cost agree in order for the extended cost to be accurate.
14. G/L Account: This area is where the expenses are to be charged according to department, program, account description and project code, if any. It can be accomplished by entering an account number(s) and a percentage or a dollar amount. This task cannot be completed until all necessary information is entered correctly. If there are "insufficient funds" in an account, the system will require a budget revision or an "override" to proceed.
15. If the item or services being purchased stem from a contract either through a piggyback, Vendor Contract, Sole or Single Source Contract, or Town Bid / RFP, the contract shall; be entered by using the drop- down feature.
16. Employee: This area is for the employee entering the requisition to add their name from a drop-down menu.
17. Ship to Location: This area is a drop-down menu of Department Shipping locations. The employee entering the requisition should select the appropriate department ship-to address.

Review of Requisitions

Procurement Division staff shall review, approve, or return a requisition within 7 business days from when it has been approved and posted by the requesting Department Director. A requisition lacking or containing incorrect information will be returned to the originating department for completion or compliance. This will cause a delay of the PO processing. When in doubt, call the Procurement Division for assistance prior to submitting for approval.

If the requisition is not approved, or if the Department Director or the Procurement Division has a question, they can return the requisition to the requesting department, or cancel it altogether. Then the requisitioning process must be repeated. The requesting department must satisfy any question(s) and then return the requisition for re-approval.

The Procurement staff will review the requisition (REQ) for compliance as follows:

1. If the REQ is authorized by a resolution, the resolution number must be listed in the body of the REQ.
2. If there was an Emergency Purchase, an Emergency Purchase Approval form authorized by the Town Administrator is attached to the REQ.
3. That the account number is correct and budgeted funds are available. If the account number is incorrect or funding is unavailable, the Procurement Division will refer the matter to the

requesting department for further action.

4. If the vendor is listed as a sole source or single source provider, proper documentation is submitted by the requesting department. See the section on sole source/single source vendors for more detail.
5. Approval for a pre-paid PO is made by the Procurement Manager along with the Budget and Finance Director and/or Assistant Director.
6. If the purchase is being obtained by way of an informal or formal bid or cooperative or piggybacking an existing bid or proposal, the bid/proposal number and/or local government's bid/proposal number (for piggybacking and cooperative bids/proposals only) and appropriate documentation must be included.
7. That proper procurement policies have been followed as determined by the amount of the PO.

The requesting department should check the REQ status daily. When a REQ is returned, all questions must be answered prior to the re-routing of the REQ through the system. Once the REQ is revised, Department Director approval is required prior to the Procurement Division receiving the revised REQ. If assistance is needed, the department should call the Procurement Division.

Purchase Orders

The most common type of contract document is the purchase order (PO). Purchase orders are usually issued for the purchase of commodity and equipment items not available on a term contract agreement. A PO may only be considered a contract, however, when it is issued as an acceptance of an offer made by a vendor. Offers include a formal response to an Invitation to Bid (ITB) or a Request for Proposal (RFP), or an informal written quotation, where pricing is included as a part of the offer. Purchase orders are issued in response to a requisition entered into the ERP system by the using department.

Once the requisition is complete, and all appropriate approvals have been obtained, the Procurement staff will generate a PO with a PO number. The PO documents are reviewed and authorized by the Procurement Manager. In the absence of the Procurement Manager, the Procurement Coordinator, Budget and Finance Director or Assistant Budget and Finance Director can approve POs. Once approved, the using department prints the PO which will have an electronic signature affixed to the document. If a department needs to cancel a PO, they must send a Purchase Order Change Request Form that can be found on the Town's Document Management System (DMS), which includes the PO number to the Accounts Payable Division requesting that the PO be canceled. POs are not needed for the payment of Town of Davie utility bills, such as electricity and water usage.

In those few cases where a Pre-paid PO is requested, the using department must obtain the approval from the Budget and Finance Director, or designee. If approved, the using department must indicate "prepaid" in the body of the requisition. The using department is responsible for printing the PO and then entering the information into the ERP system to be processed for payment.

The Procurement Division has access to the electronic version of the PO. All PO increase requests must be sent to the assigned Procurement Buyer. Any increase or decrease should be processed on

Purchase Order Change Request Forms that can be found on the Town's DMS System. Any request to reduce or close out a PO should be sent to Accounts Payable.

Each PO document includes standard terminology defining requirements for the vendor to follow which cover the following areas:

1. Items are to be shipped F.O.B. Destination[1], freight pre-paid. This requires that title to the goods remain with the vendor until delivery and acceptance. The vendor is responsible to pay for damage claims.
2. The Town's tax-exempt information is provided.
3. PO numbers should be included on all shipments.
4. Required vendor warranties are included.

Receiving an Order
The Town has no central receiving department. Shipments are received either at the Town Clerk's Office for the Town Hall complex or can be delivered to departments directly.

After receiving a package, an inspection of the contents should be conducted to ensure that the item(s) received is what was ordered, that the correct quantity was received, and that the item(s) is in satisfactory condition. An invoice, packing slip, or bill of lading should be included with the shipment.

If any damage to the shipment is detected, this should be noted on the receiving slip. Damaged merchandise should generally not be accepted.

All invoices shall be entered into the ERP system, unless payment is being made with the Town's procurement card, for payment of the invoice.

Invoice Processing

An invoice is the vendor's statement of their charges against the Town for materials or services rendered. The invoice is based upon the Purchase Order and should contain the same basic information.

Upon receipt of vendor invoice, completion of delivery, and acceptance of material or service, the department will promptly process the invoice. Vendors are directed to mail invoices directly to the requesting departments. The Town adheres to the State of Florida "Prompt Payment Act" as required by Chapter 218, Part VII, Florida Statutes.

Invoice Processing
All invoice batching is performed by the using department for the purpose of paying for an invoice, disbursement or reimbursement as defined below. All non-procurement card transactions, with the

[1] The F.O.B. means that the Town takes delivery of goods being shipped to it by a supplier once the goods arrive at the designated location, at the designated time and date, and are accepted by the designee.

exception of Tuition Reimbursements and wire transfers are required to be submitted on an invoice batch inside the ERP System. The procedure for entering an invoice can be followed here [Link].

In addition to purchases of goods and/or services that are $2,500.00 or less, or against an existing purchase order, the following items can be paid by Invoice Batch without a PO even if the cost exceeds $2,500.00:

- Payments to Governmental Agencies, i.e., usage fees, permits, grant payments, utility bills and other intergovernmental charges
- Insurance premium payments or settlements
- Legal Settlements
- Donations and/or sponsorships paid to 501(c)(3) and other non-profit organizations
- Association dues and/or memberships
- Books, publications and/or subscriptions
- Reimbursements or refunds
- Education, training and/or certifications
- Utility bills, for example electric, telecom, water & sewer etc.
- TV or radio broadcasting
- Advertisement on radio, television, newspapers, magazines, and other media.
- Disbursement against liability accounts
- Disbursement of shared revenue (income that must be shared with a third party by contractual agreement, state requirements, etc.)
- Purchases for which a Town "Notice of Inquiry" form was completed
- Other payments that do not require competitive bidding procedures and approved on a case-by-case basis by the Procurement Manager or designee.

Some of the above items may be subject to Section 2-319 of the Town Code and require prior approval from the Procurement Manager, Town Administrator or Town Council.

Procurement Card

The Town of Davie Procurement Card program provides an efficient, cost-effective method of purchasing and paying for small-dollar and high-volume purchases. Procurement cards offer an alternative to the traditional procurement process and can result in a significant reduction in the volume of purchase orders, invoices, petty-cash transactions, and checks processed. Procurement cards can be used whenever a purchase order, check request, or petty cash would have been processed and with any vendor that accepts credit cards and does not charge a user/convenience fee (unless authorized by the Town Administrator, Budget and Finance Director or designee).

The Town's Procurement Card program provides significant benefits, including:

- Using department convenience (simplified procurement and payment process)
- Efficient payment method
- Lower transaction costs
- Rebate revenue
- Improved procurement data analytics
- Alternative to petty cash
- Immediate payment to vendors
- Emergency preparedness

The purpose of these policies and procedures is to accomplish the following:

- To provide an efficient method of procuring and paying for goods and services not exceeding $5,000 per purchase.
- To reduce the use of petty cash and open purchase orders.
- To ensure Procurement card purchases are in accordance with the Town's ordinances, policies and procedures.
- To reduce the time spent by the Accounts Payable personnel processing low dollar transactions.
- To ensure that the Town bears no legal liability from inappropriate use of procurement cards.
- To provide for disciplinary action if the procurement cards are misused.

Assignment and Control of the Procurement Card

Department Directors are responsible for designating users of the Town's Procurement Card Program. The Department Director will complete the appropriate form to request a new card for an employee that can be found on the Town's DMS System. If approved, the Procurement Division will order the employee a procurement card and add the employee to their respective department's section on the Town's online procurement card website. Each procurement card is issued to a named individual and the Town of Davie is clearly shown on the card as the governmental buyer of goods and services. The policies and procedures herein are minimum standards, Departments may establish additional controls if necessary.

The Procurement Card will have the employee's name, the Town's name, the Town's Sales Tax Exemption number, and expiration date. The Procurement Card issuing company will not have individual cardholder information, other than the cardholder's work address and employee ID number. No credit records, etc., of the cardholder are maintained.

When the Procurement Division receives a Procurement Card from the issuing card company, the P-Card Administrator will notify the cardholder who will be required to personally take receipt of the card. Before the cardholder is given a card, the Town employee will be given a copy of the Policies and Procedures Manual and sign a certification and receipt form that they understand the policies and procedures for use of the card.

The Procurement Division will monitor the performance of the procurement card program. All questions or concerns should be directed to either the Fixed Asset Specialist who also serves as the P-Card Administrator or Buyer (for procurement related questions) or the Budget Manager (for budget related matters).

Procurement Cards may only be used for authorized Town business and may not be used for personal purchases. The Procurement Card may be used for purchases and will not be used for cash advances. Certain categories of purchases are not allowed. Purchases are limited to $5,000 per single transaction. There are four maximum credit levels for transactions per billing cycle. These levels are authorized by the Department Director, Procurement Manager, Budget & Finance Director and Town Administrator. Purchasing limits for profiles may be revised at the discretion of the Procurement Manager, Budget and Finance Director or Town Administrator. Splitting charges to bypass the purchasing thresholds is a violation of Florida State Statute 287.056(9) and will not be tolerated. Additional profiles can be set up by the Procurement Division to meet special needs of the Town, for example in preparation of a Hurricane.

Authorization Process

The Procurement Card Program simplifies the procurement/disbursement process. Procurement responsibility is delegated to the ordering department enabling an authorized cardholder to place an order directly with the vendor.

When a purchase authorization is requested by the supplier at the point-of-sale, the Procurement Card system validates the transaction against preset limits as well as merchant codes established by the Town. All transactions are approved or declined (electronically) based on the procurement card authorization criteria established. The authorization criteria may be adjusted periodically as needed and may include, but is not limited to, the following:

- Number of transactions allowed per day
- Number of transactions allowed per month
- Single purchase limit
- Monthly spending limit
- Approved merchant category codes

The authorization process occurs through the electronic system that supports the procurement card

processing services under the Town of Davie's agreement with the P-Card vendor.

Responsibility

The following is a summation of the responsibilities of the individuals and organizations involved in the procurement card system:

Cardholder:

- Hold and secure procurement card
- Collect and saves sales receipts
- Match and attach receipts with transaction documentation
- Submit transaction documentation for approval and general ledger (GL) Coding
- Identify disputed charges

GL Coders: Individual(s) designated by Department Directors

- Entering the appropriateness of GL account into the external P-Card System. (i.e., fund/agency organization assigned to charges)
- Handle disputed items
- Obtain Department Director or designee approval
- Attach all supporting receipts to the transaction in the P-Card System.

Department Director or Designee:

- Request Procurement Cards for designated employees
- Set department spending limits within established guidelines
- Designate representatives responsible for authorizing charges
- Collect cards from cardholders who end employment or notify the P-Card Administrator if an employee changes position
- Approval of all transaction documents for their department
- Evaluate the need to cancel or reissue cards when employees transfer

Procurement Division:

- Maintain cardholder list
- Coordinate issuance and cancellations of cards
- Coordinate program policy issues
- Participate in ongoing program reviews
- Participate in resolving billing disputes
- Coordinate and maintain internal controls
- Maintain policy and cardholder guides/manuals
- Establish and monitor benchmarking objectives
- Pursue supplier discount opportunities
- Evaluate Procurement Card feedback from suppliers
- Review transactions for adherences to the Procurement Policies and Procedures
- Review all transactions for proper coding
- Monitor department transactions to ensure coding has been completed

Accounts Payable:

- Pay charges from batches that have been approved by Procurement
- Review accounts to ensure funds are available before processing
- Monitor all outstanding charges have been paid from each monthly statement

Lost or Stolen Procurement Cards

If a Procurement Card is lost or stolen, the cardholder or department representative must immediately notify the Procurement Card Company and the Procurement Card Administrator of the loss. The cardholder will be responsible for reporting all information necessary to reduce the liability to the Town for lost or stolen cards.

Termination or Transfer of Cardholder

When an employee ends his or her employment or is transferred to another department, the Department Director must collect and destroy the Procurement Card.

If the Department is unable to collect the Procurement Card when an employee terminates, the Department Director must immediately notify the Procurement Division. The Procurement Division staff will ensure that the card is canceled.

Limitations on the Use of Procurement Cards

Cardholder Use Only
The Procurement Card may be used only by the employee whose name is embossed on the card. No other person is authorized to use the card.

Town Purchases Only
The Procurement Card is to be used for Town authorized purchases only.

The Procurement Card cannot be used for any personal use and any such use will require immediate reimbursement and may result in disciplinary action up to termination.

Dollar Limitations

The Department Director approving the assignment of a Procurement Card will set two limits for each cardholder: a single purchase limit and a 30-day limit. Card limits shall not exceed $5,000 for a single purchase. Requests for spending limit changes must be initialed and authorized by the Department Director or designee. (These limits do not apply to Procurement staff).

A purchase may be made of multiple items, but the invoice cannot exceed $5,000. Payment for purchases shall not be split to stay within the single purchase limits and restrictions. Splitting purchases is a direct violation of Florida State Statute 287.056(9) and the Town of Davie policy.

Department Directors must submit, in writing, to the Procurement Division any request with

explanation for increased limits or temporary changes in restrictions.

Prohibited Uses of Procurement Cards

The Procurement Card has been designed to prohibit purchases of certain commodities, services or vendors through the use of electronic controls. Circumstances in which the procurement card has been declined for a blocked MCC Code, a Procurement Card Request form must be completed and sent to the Procurement Division. Upon consent, the Procurement Manager will instruct one of the buyers to complete the transaction. Procurement Card controls for card users will only be released in an emergency. A copy of the written request and all receipts must be attached for payment to Procurement.

The Procurement Division has provided our P-Card provider a list of the following items that are prohibited for regular use.

- Cash advances
- Alcoholic Beverages
- Any additional goods or services specifically restricted by the Town
- Departments should also review the Town's Discretionary Spending Policy to avoid violation of said policy.

Emergency Operations

As approved by the Town Administrator or designee(s), during disaster preparation it is policy that the Procurement Card limits will be raised for Department Director & Assistant/Deputy Department Directors and any other personnel determined necessary by the Town Administrator or designee(s). This will assist in food purchases, accommodations for Disaster Relief Crews, and other necessary items.

Other Conditions

All items purchased by telephone/website must be delivered to the requesting departments address and cardholder's attention, otherwise products may be returned to sender if unable identify ordering department.

Documentation of Over-The-Counter Purchases
When an over-the-counter purchase is made, the cardholder must obtain the customer's copy of the charge slip. The charge slip will be retained either by the cardholder or by a GL Coder until they enter the information into the P-Card system.

In the event that a vendor requires a purchase authorization form be sent to them, under no circumstances should the card information be sent via email. Purchase authorizations can be faxed or the form can be completed without the card information. It is advised to write in the card information space "Call for Card Number" as all emails are subject to public records requests and can be susceptible to a breach of card information.

Missing Documentation

If for some reason the cardholder does not have the documentation of the transaction to send with the statement, he/she must attempt to obtain a copy from the vendor prior to forwarding the statement to the Procurement Division. If this is not possible, then the cardholder must provide a written explanation as to why they cannot provide the necessary documentation. The Department Director must sign the document, verifying a valid purchase.

Payment and Invoice Procedures

When placing a orders, the cardholder must retain all documentation such as quotes, receipts, or invoices and code their transactions in the P-Card system within three (3) days of the transaction becoming available in the P-Card System. P-Card payments shall not be delayed until the product has arrived or services are performed. The Town has an obligation under the P-Card Agreement with the bank to pay within thirty (30) days or one billing cycle. Balances should not roll over from month to month. Cardholders will need to verify pricing prior to placing an order and track their order to assure delivery. If the pricing is wrong or the Town did not receive the item(s), it is the responsibility of the card holder to either follow-up with the vendor for a credit or dispute the charge with the P-Card provider. If a credit is issued the P-Card holder will need to code the item with the original backup information and the credit receipt or proof of credit issuance.

The Procurement Card Company will email a notification once a transaction has occurred and requires coding. Departments will be required to log into the P-Card provider software and code all transactions within three (3) days of the transaction becoming available in the P-Card System. Departments have twenty-one (21) days or less to process and approve all transactions, otherwise the user's card will be suspended until the outstanding charges are remedied. Continued failure to meet the deadlines may result in the revocation of procurement cards at the discretion of the Town Administrator or designee.

Items are to be verified, coded and uploaded with all appropriate backup information by either the end user or delegate. Once entered, the Department Director or designee must approve the charges. The Buyer will review the approved charges to verify the account number is relevant, is appropriate, and contract pricing (if applicable) is accurate. Once the Buyer has approved the item, it is routed to AP to ensure that money is available in the specified account and the charges are imported into the ERP system for payment.

Disputes

If items purchased with the procurement card are defective, the cardholder must return the item(s) to the vendor for replacement or credit. If the service paid for with the procurement card is faulty, the vendor must be notified and asked to correct the situation or provide a credit. If the vendor refuses to replace or correct the faulty item or service, the purchase will be considered in dispute.

A disputed item must be entered into the P-Card provider system when coding an item.

It is essential that the time frames and documentation requirements established by the Procurement

card issuer be followed to protect the cardholder's rights in dispute. Dispute procedures will be issued by the procurement card issuer once a dispute has been entered.

Review of Purchases by Departments

Because of their knowledge of the job responsibilities and requirements, department representatives are required to review each Procurement Card expenditure (item purchased, amount and vendor) to ensure the goods or services were necessary and for official use.

When purchases are questioned, the Department Director or their designated department representative will be responsible for resolving the issue with the cardholder. If the Department Director cannot be satisfied that the purchase was necessary and for official use, the cardholder must provide either a credit voucher proving the item(s) were returned for credit or a personal check for the full amount of the purchase. Checks must be sent to the Budget and Finance Department with an explanation and general ledger account number.

Serious or repeated misuse of the Procurement card will result in the revocation of the card. Employees incorrectly using their Procurement card will be disciplined by the Department Director as necessary.

To help the departments in their reviews, management reports are available on the P-Card provider platform.

Discretionary Spending

Policy

This policy has been designed to address "Discretionary Spending" (i.e., food, coffee, birthday cakes, retirement parties, flowers, and other items) using public funds that do not directly benefit the community.

This operating procedure applies to all employees of the Town of Davie (Town) regardless of probationary or other status, as well as all Executive, Part-Time, Seasonal employees, and volunteers.

Discretionary Purchase

Below are the guidelines for discretionary spending. A Department or Division may make exceptions to this policy for an operational necessity that arises related to its functionality, as long as it's sufficiently documented.

This policy is not intended to conflict with the Broward County Ethics Ordinance, which would supersede this policy.

Allowable

1. The purchase of meals and non-alcoholic beverages, including gratuities up to 18%, is authorized for the following meetings if they are related to Town business:
    a. Advisory boards and committees,
    b. Town sponsored education programs (including but not limited to the Public Affairs Academy, Community Emergency Response Team – CERT, Take your Child to Work Day, and Davie Civilian Police Academy),
    c. Facility tour groups, which includes paying for employees that are part of the group (i.e. an employee who chaperones a senior group or other official Town event),
    d. Official Board meetings and periodic Town employee meetings, including extended Town Council and CRA Board meetings/workshops (not intended to include routine, regularly scheduled general staff meetings),
    e. Consultants and Promotional Testing assessors which relate to official Town business.

2. This reimbursement may include the meals of Town representatives, as well as the meals of any official business guests and members of (1), (2), (3), (4) and (5) above.

   The purchase of light refreshments and non-alcoholic beverages, including gratuities up to 18%, is authorized for the following (light refreshments for morning, afternoon or evening breaks are defined to include non-alcoholic beverages, cookies, fruit, chips or similar snacks and should not constitute a meal):
    a. Meetings with members of outside business or public sector community which relate to official Town business.
    b. Official Board meetings and periodic Town employee meetings, including

extended Town Council and CRA Board meetings/workshops (not intended to include routine, regularly scheduled general staff meetings).

c. Formal training functions hosted by the Town and/or for training functions for Town employees.

3. Dues, subscriptions, or memberships for civic organizations when acting as a representative of the Town.

4. Reasonable parking expenses for employees, volunteers, private business representatives, or members of Town advisory groups, councils, or similar bodies related to official Town business.

5. Employee recognition awards may be given in compliance with IRS Taxable Fringe Benefit guideline.

   Employee and Recognition awards must:

   i. appear prudent to the public;
   ii. each individual award cannot be no more than $75 in value.

6. Employee achievement/service awards and recipient of the Town's Spirit Award are excluded from this aggregate awards threshold as they differ from Employee Recognition; employee achievement/service awards are generally related to length of service, safety achievement, etc. Additionally, awards made for the "Wellness Program" that does not use public funds (i.e. funds from the Town's healthcare provider) would be exempt and would not violate this rule.

7. Lunchroom appliances (i.e., refrigerator, microwave, and toaster) as long as the lunchroom is open to all employees at the location, not just for a specific unit.

8. Town of Davie shirts/uniforms will be purchased as directed in the Collective Bargaining Agreements (CBA). Additionally, at the discretion of the Department Director, departments can purchase clothing (with the Town's approved logo) annually that does not exceed $50 per employee if they are not provided clothing in the CBA.

9. Office sanitation and cleaning supplies (i.e., air freshener, cleaning wipes)

10. Cutlery, plates, cups, napkins, serving dishes/baskets purchased for allowable meals and beverages purchased for approved Town events.

Prior Written Approval Required

Certain expenses are allowable with prior written justification from the Department Director/Division Manager that is then sent to and approved by the Town Administrator or designee.

1. Food and non-alcoholic beverages, including gratuities up to 18%, is allowable with prior written approval for the following events/ meetings:
   a. modestly priced appreciation lunches or banquets honoring volunteers

b. employees or volunteers working a Town declared emergency and it is in the Town's best interest to provide meals to expedite disaster management/recovery efforts
c. employees attending modestly priced banquet events or benefit dinners in the Town's honor or in the honor of an organization affiliated with the Town.
d. assessors or other official business representatives assisting with training, promotional testing, or other related services
e. official meals of Town representatives, as well as the meals of any official business guests.
f. employee recognition award functions, employee retirement functions, or volunteer recognition receptions

2. Light meals for staff retreats are allowed providing the meal cost, including delivery and gratuity, does not exceed the standard individual meal per diem cost defined by the Internal Revenue Services. Staff retreats differ from routine staff meetings or trainings; retreats are defined as employee groups assembling infrequently on/off the premises to plan organizational goals with desired outcomes.

3. Interior plants and maintenance services for those interior plants in general public access and public use areas.

4. Flowers or decorations, for events such as public or volunteer receptions and funerals, or employee, client, business owner, resident, or volunteer recognition, when deemed appropriate by the Town Administrator or designee.

5. Purchasing a reasonably priced sponsorship or table at an awards banquet or benefit event which is hosted by a Town-affiliated organization, or which engenders community good will (to be distinguished from a donation as listed under "not allowable"). To ensure value of sponsorship, Town should not purchase seats that go empty. To ensure compliance with funding agencies, purchase will be funded exclusively with Town funds or other non-Fed/State grant funding unless explicitly stated as allowable in the grant award.

Not Allowable
Purchasing the following items or services is considered to be of a personal nature, and is not an allowable Town expenditure:

1. Alcoholic beverages in any form for any occasion;

2. Office meals, meals for employees while attending training functions (excluding staff retreats and formal Travel & Training) and/or entertainment meals (this refers to the prohibition of meals/entertainment for staff that feeds and/or entertains clients as a function of their management job duties);

3. Office social functions, such as birthdays, picnics and holiday observances (party);

4. Meals, cover charges or any other personal costs associated with a spouse, significant other

or guest accompanying an employee to a Town related function or event when said guest does not have a clear business relationship or affiliation with the Town, the sponsoring organization, or the event.

5. Home entertainment;

6. Gifts, including special occasion or other holiday gifts (excluding gifts purchased for Town events as give away items or prizes);

7. Holiday and other greeting cards and decorations (seasonal holiday decorations for Town facilities and along roadways may still be procured by departments as authorized by the Town Administrator or designee);

8. Non-alcoholic beverages (including water cooler service, individual bottled water, soda, juice and coffee), light refreshments or meals for employees performing their normal job duties or assignments, including regularly scheduled staff meetings, committee meetings, etc; This does not pertain to circumstances were employees are restricted to a location working a large crime scene, traffic post(s), emergency incident or TOD special event and it's vital that the employee remain hydrated especially wearing the safety gear or body armor;

9. Red light camera tickets and traffic citations;

10. Personal photocopying;

11. Personal long-distance telephone calls;

12. Reimbursements for non-emergency Town business phone calls made on private cellular phones; and

13. Contributions or donations made by the Town, unless approved by Town Council for specific donations or programs including but not limited to Community Endowment, Police Department or Office of Community Development.

The Town's SOP#24-005, Political Activity, addresses the Town's policy related to political activities. The Town does not allow / promote expenses related to political campaigns (excluding Town related expenses for issuing General Obligation bonds).

Policy on Limited Competition Purchases

It is the policy of the Town of Davie to purchase its goods, supplies, services and construction through full and open competition. However, when competition is not available or when it is determined in the best interest of the Town to utilize a sourcing method other than full and open competition, Town legislation authorizes the execution of purchases by other methods, such as a cooperative and/or piggyback, Bid Waiver, Sole/Single Source or Emergency basis.

The policy of limited competition may not govern every procurement situation that may arise. In the event a specific purchase is not covered by these guidelines, the purchase shall be made based on full and open competition following consultation with the Procurement Manager.

Exclusions

The following items are deemed exempt from the competitive bidding process but are still subject to the approvals in accordance with Section 2-319 of the Town Code.

- The procurement of dues and memberships in trade or professional organizations; registration fees for trade and career fairs, subscriptions for periodicals and newspapers; advertisements; postage; expert witness; legal and mediation services; lobbying services; abstracts of title for real property; title searches and certificates; title insurance for real property; real estate appraisal services; water, sewer, telecommunications and electric utility services; copyrighted materials or patented materials including, but not limited to, technical pamphlets, published books, maps, testing or instructional materials; fees and costs of job-related seminars and training.
- The purchase, care and boarding of animals such as police K-9s, patrol horses and other animals that require specialized training and behavior characteristics that must be evaluated and tested for a period of time prior to acceptance.
- Items purchased for resale to the general public; for example, supplies for a Town-owned concession area.
- Purchase of groceries.
- Artistic services or works of art.
- Travel expenses, hotel accommodations and hotel services.
- Town-sponsored events held at venues not owned by the Town.
- Entertainment and entertainment-related services/goods for Town-sponsored events including, but not limited to, face painting artist, petting zoos, props, decorations, bounce houses DJs and musicians.
- Purchase of motor vehicle license plates from a governmental agency.
- Persons or entities retained as "expert consultants" to assist the Town in litigation, or in threatened or anticipated litigation.
- Educational or academic programs.
- Health services involving examination, diagnosis, treatment, prevention, medical consultation, or administration.
- Auditing services that are not subject to the requirements of F.S. Chapter 218, Part III
- Any services identified in F.S. § 287.057, as may be amended from time to time, as being exempt from competitive bid/request for proposal requirements.

- Additional software and hardware licensing and maintenance for software and hardware the Town already owns/licenses. This shall include subscription-based software fees that are unique or preexistent and contain historical knowledge that cannot be easily or without cost moved to another software application.
- Purchase, rental, or lease of real property that is in the best interest of the Town.
- Auctioneer services, vending services, bus bench advertising or other revenue related contracts as approved by the Town Administrator or designee.

The items identified below are formal exceptions to full and open competition.

Sole and single source procurements

A contract may be awarded for materials, supplies, services, equipment, construction and/or certain contractual services without competition when the Procurement Manager or a designee determines in writing that there is only one (1) economically feasible source for the required materials, supplies, services, equipment, construction and/or certain contractual services, or when requirements for standardization, warranty, geographic and territorial restrictions, or other factors create a situation where competition is neither feasible or practicable.

The Procurement Manager or designee may conduct negotiations, as appropriate, regarding price, delivery and terms. The Town department requesting a single, or sole source procurement must submit a written request to the Procurement Manager for approval, which must be accompanied by a written justification signed by the department director that can be found on the Town's DMS System.

Please note that the justification must document the purpose of the purchase, the reason(s) for the single or sole source purchase, and a summary of attempts to obtain competition. Once the form is submitted and all approvals have been received, the Procurement Division shall post on the Town's website a notice of intent to sole/single source for a period of no less than seven (7) days, which is required by the Town Code.

Sole source purchase requests in excess of the procurement Category Three threshold as defined in F.S. § 287.017(3), must be approved by the Town Council. A record of sole/single source purchases shall be maintained by the Town and shall list each vendor's name and purchase information included.

Emergency Procurements

Notwithstanding any other provision of this Manual, the Town Administrator or designee may make or authorize others to make emergency procurements when there exists a threat to public health, welfare, or safety under emergency conditions, provided that such emergency procurements shall be made with such competition as is practicable under the circumstances.

The Town Administrator is authorized to determine if an emergency exists for purposes of emergency procurements. If an emergency does exist, the Town Administrator shall authorize emergency expenditures for the procurement or temporary acquisition of supplies, equipment and

services necessary to meet the Town's needs as a result of the emergency and may delegate authority for a department director or other designee to secure emergency proposals.

The Town Administrator, the Procurement Manager, or the designee shall endeavor to secure proposals from at least two (2) separate sources if possible. Any emergency procurement exceeding the award authority of the Town Administrator shall be reported to the Town Council in writing or at a Town Council meeting, no later than ninety (90) working days after the determination that the emergency situation has been stabilized and that no further emergency expenditures are required. A written determination of the basis for the emergency and for the selection of the particular contractor shall be provided by the Town Administrator to the Town Council and included in the contract file.

Cooperative Procurement

When deemed to be in the best interests of the Town, the Procurement Manager may participate in, sponsor, conduct or administer contracts under a cooperative procurement program with one (1) or more governmental units for the procurement of any materials, supplies, services, equipment, construction and/or certain contractual services. Such cooperative procurement programs may include, but not be limited to, joint or multiparty contracts between public procurement units and open-ended public procurement term contracts that are made available to other governmental units.

Once the active contract is used as the basis of a cooperative contract by the Town, the contract shall not be impaired by the future decisions or actions of the other agency. The Town shall adopt the contract as its own agreement and shall not be associated or connected in any manner with the initiating agency that originally solicited the contract. The Town may negotiate the terms of the contract to ensure legal sufficiency and protect the Town's best interests to the point in which it does not alter the originally intended products, pricing (unless further discounts are offered) or services.

Cooperative procurement also include the procurement of goods or services based upon contracts awarded by other governmental or not-for-profit entities by a competitive bid, selection or negotiated process. This includes the procurement of goods or services under a contract awarded by the United States Government or another governmental or not-for-profit entity by a competitive bid, selection or negotiated process. This requires authorization by the Procurement Manager, or designee and is based on that time, expense and marketplace factors make it financially advantageous for the Town to do so.

The Town shall adopt the contract as its own agreement and shall not be associated or connected in any manner with the initiating agency that originally solicited the contract. The Town may negotiate the terms of the contract to ensure legal sufficiency and protect the Town's best interests to the point in which it does not alter the originally intended products, pricing (unless further discounts are offered) or services. Once the other agency's active contract is used as the basis of a piggyback by the Town, the piggyback shall not be impaired by the future decisions or actions of the other agency.

Procurement from other governmental entities

Procurement of goods or services from the federal government, any state or political subdivision thereof, or any municipality are exempt from the requirements of this section. Theses purchases are still subject to Section 2-319 of the Town Code.

Professional Services

Contracts for the service of professionals, including, but not limited to, the practice of law, management consulting, medicine, real estate appraisal, or other area of expertise as determined by the Town Administrator or designee to be in the best interest of the Town, and not otherwise subject to the requirements of F.S. § 287.055, as amended, may be entered into without competitive bidding, however, qualifications, work history and other relevant data shall be reviewed before entering into such contracts. Professional services contracts that exceed the threshold established in subsection 2-319(b) of this Code will require approval by the Town Council. Nothing herein in the procurement code shall pertain to employment contracts for Town employees.

Owner Direct Purchase

Florida law allows government entities to buy goods and services tax-free when the government entity makes payment directly to the vendor. When a government entity directly buys materials for use in a public works construction contract, these purchases are exempt from sales tax when the government entity follows certain procedures. These procedures are defined in Rule 12A-1.094, F.A.C. Therefore, a contract may be awarded for supplies or materials without competition where such supplies or materials are being procured by the Town as an owner direct purchase for incorporation into a public works or capital expenditure project, the contract for which was previously awarded by the Town, which prior award included the cost of such supplies and materials.

Other Exemptions

In addition to the limited competition actions described above, there may be certain exceptional situations where full and open competition procedures cannot be used in association with a given administrative requirement. Such actions are hereby identified as "Administrative Purchases". The only administrative situations that justify processing "Administrative Purchases" on a limited competition basis are as follows:

1. Post-expiration fund disbursement: This authorized Administrative Purchase is defined as an administrative function which allows for the disbursement of funds after the expiration date of a contract period or which allows additional funds to be allocated in order to effectuate previously executed lease agreements. This category of Administrative Purchase shall only be approved by the Procurement Manager in consultation with the Budget and Finance Director in accordance with the threshold limits established herein and only then to satisfy a financial commitment made under a previously approved contract that has expired.
2. Administrative Purchases are necessary primarily to facilitate lease agreements and other

type arrangements that may extend beyond the original contract term.

Unauthorized/Confirmation purchases: This administrative purchase is defined as a ratification of an unauthorized purchase executed by a requesting department that is not in compliance with the policies contained in the Town's procurement policies and guidelines. A Confirmation Purchase requires retroactive approval (if appropriate) of an unauthorized purchase. A confirmation purchase requires retroactive approval in accordance with Section 2-319 of the Town Code. Payment for any unauthorized purchase may be the responsibility of the employee placing the order. The department Director having responsibility over the unauthorized purchase shall provide to the Procurement Division. A notice of inquiry will also be completed for this transaction a providing complete written justification for the specific unauthorized purchase and the corrective action intended to prevent recurrence of the incident. A copy of this justification shall be included or attached to the Confirmation Purchase Form.

Waiver of Procurement Procedures

Upon written recommendation of the Procurement Manager, the Town Administrator may waive procurement procedures up to the threshold of F.S. § 287.017(3), as amended. The Town Council may authorize the waiver of procurement procedures that exceed the threshold of F.S. § 287.017(3), as amended that it is in the Town's best interest to do so to obtain goods and services which cannot be acquired through the normal procurement process due to insufficient time, the nature of the goods or services, or other factors.

Purchases authorized by the waiver process shall be acquired with such competition as is practicable under the circumstances and only after a good faith review of all available sources and negotiation as to price, delivery and terms. There shall be no waiver of procurement procedures for procurements that are subject to the provisions of F.S. § 287.055, acquisition of professional architectural, engineering, landscape architectural, or surveying and mapping services; definitions; procedures; contingent fees prohibited or § 255.20, local bids and contracts for public construction works; specification of state-produced lumber, as amended.

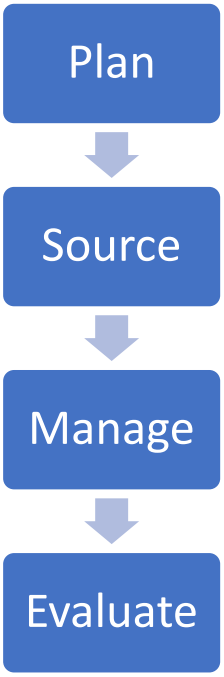
Procurement Cycle

Identified below is the generalized methodology the Procurement Division recommends Departments follow when conducting procurement activities. All Departments should make use of this approach and the supporting processes identified in the Manual when procuring for goods, supplies, services and construction.

Generally, a procurement activity involves four (4) stages; planning, sourcing, managing, and evaluating. This structured approach to procurement will assist Departments by reviewing their procurement activities against best practice and ensure that procurement is done in a timely and efficient manner.

Below is a summary of the procurement process that the Town of Davie has accepted as the benchmark by which all procurement in the Town are to be made.

Figure 1: The Town of Davie Procurement Process



As noted above, there are four stages to procurement in the Town: plan, source, manage, and evaluate. This approach is common to all types of procurement; however, the relative importance of the different stages within the approach will depend on the size, scope, and type of procurement being undertaken, i.e. more complicated purchases would require a deeper dive into the approach, while a simple procurement will only require some of the steps identified.

The Procurement Division's four stages to procurement approach is aligned to the mission of the

Town's goal of having a procurement system which delivers value for money, is aligned with business needs, and leads to efficient and effective service delivery. Key elements of this approach are early engagement factors of the Procurement Division and include the development of procurement solutions that are based on sound business practices.

Phase 1. Planning for Your Procurement

Perhaps the most important step in the procurement of any item for the Town is to properly plan for the acquisition. For most purchases, procurement planning will include collaboration with the Procurement Division to identify business needs, help develop and review specifications and statement/scope of work to determine that the purpose of the acquisition is clear, and that the minimum requirements are clearly defined and stated in terms of performance and/or functionality when possible. The Procurement Division will also work with departments to conduct market research and analysis to determine sources of supply and available solutions in the marketplace.

The end-result of proper planning and the Procurement Division working with the departments is developing effective competitive solicitations, accurate budgetary projections, timely procurement of supplies, services and construction, consideration of multiple products or solutions, and enhanced competition. It is the Procurement Division's desire, intent, and goal to work with departments at the earliest point possible in the procurement cycle.

Stage 1: Planning for a Purchase

The first step in any purchase involves consulting key stakeholders to define the 'real' need, analyzing how the supply market works, assess risks, and ultimately define the best procurement strategy to meet the Department's requirements. The planning stage requires (1) analyzing your department's business need, (2) analyzing and engaging the market, and (3) finalizing the procurement strategy.

Analyzing Business Need:
The business need is a multi-dimensional expression of the requirements of the Department's spend stream both now and in the foreseeable future. The key steps to analyze business needs are:

1. Determine if the purchase is a critical one for the Department, based on an assessment of value and risk.
2. Identify and understand internal stakeholders.
3. Engage internal stakeholders and seek their commitment.
4. Brainstorm different opinions about what the Department requires from this project and think about alternative options to deliver the same outcome in a better way.
5. Determine and agree on business needs.

Analyze and Engage the Market
The goal is to develop a comprehensive profile of the dynamics of the supply market in order to decide how best to interact with it, which requires Departments to:

1. Have a clear profile of the supply market, its capabilities and its key drivers of change which will shape it over the next 12-36 months.
2. Ensure the Department is aware of new and innovative solutions that the supply market could implement to deliver better value for money to the Department.
3. Get an appreciation of the balance of power between the Department/Town and the market.

The key steps to analyze and engage the market are:

1. Identify first any arrangement that may exist in the Town (for example, prequalification schemes and blanket orders) or arrangements with a piggyback clause and use them.
2. Undertake a thorough analysis of the supply market.
3. Interact and engage with the supply market in compliance with the Town's ethics policy.
4. Industry engagement consists of consulting the industry (or supply market) around a particular problem or opportunity. It is to be conducted at all phases in the procurement lifecycle.

Preliminary research should include, whenever practical:

1. The industry trends and customary terms and conditions regarding warranties, acceptance and inspection.
2. Standard maintenance support.
3. Capable sources (including small businesses).
4. General pricing information and availability of product(s) or service(s).
5. Competitive factors such as quality, product features, speed of technology and typical lead time.
6. Commercial practices, other government entities' practices; and industry support capabilities and practices.
7. Environmental issues – recovery and disposal of products and energy efficiency standards as might be appropriate.

When considering an industry early-engagement approach, consider the following tactics:

1. Engage with key industry existing and potential suppliers at all stages of the procurement cycle, not only during the sourcing stage.
2. Ask to be educated in what the supplier thinks is important for the Department to know.
3. Include as many potential suppliers, including small and medium enterprises as is feasible.
4. Generally, avoid meetings with more than one supplier at a time.
5. Always respect the commercial significance and intellectual property of the supplier.

Sources of Research Data

There are a variety of sources for gathering information. However, perhaps the first place to start is with the Town's (or DemandStar's) database of vendors. Using commodity codes, departments may find firms with the ability to meet their requirements. Departments may also contact one or more of the following:

1. Subject matter experts within the Town, other governments, or private industry;
2. Publications and trade journals from industry;
3. Marketing organizations, professional associations and tradeshows;
4. Colleagues from other jurisdictions;
5. NIGP website: www.NIGP.org; or
6. Web searches using the Internet.

Finalize Procurement Strategy
Once the requesting department has completed the original business needs analysis and the market analysis, the final step in the planning phase is to address these issues:

1. How is the best way to approach the market?
2. What will success look like?
3. What is the best way to manage risks?
4. Select and define an appropriate strategy and develop a plan to implement it.
5. Ensure that support for the chosen strategy is signed off by the appropriate authorities.

The key steps to finalize the Procurement Strategy are:

1. Summarize the key findings about business needs, the supply market, key risks and opportunities.
2. Determine the level of Business Criticality of the project and what top priority opportunities should be driven out of the arrangement.

Understand the different strategic options to get the best out of the supply market to deliver optimum value for the department by considering the following:

1. How do we approach the market?
2. What will success look like?
3. How do we manage risks?
4. Identify benefits to be realized and strategy to achieve them.
5. Select and define an appropriate strategy and develop a plan to implement it.
6. Ensure that there is support for the chosen strategy and get it signed off by the appropriate authorities.

Step 2: Determine Required Approach to the Market

Another key decision that must be made during the planning phase is what contract type to utilize. Unlike the method of procurement, that determines how you are going to solicit bids for the project, the contract type will determine how the bidders will price the goods, services or construction and the contracting environment that will govern the contractual relationship between the Town and the contractor post contract award. Based on market research you should have a good idea how the contractor industry prices work similar to your requirement. This market research will be critical in helping you determine the contract type to solicit.

The Town procurement code allows for a number of contract types which is in the following section. The key factor that drives what contract type should be used on any given project is the level of project risk and how to fairly allocate that risk between the Town and the contractor.

Phase 2. Sourcing

It is the intent of the Town of Davie to provide open, unbiased, and fair competition on all goods, supplies, services, and construction acquired by the Town. Competition is a cornerstone of the Town's procurement regulations and policies and a critical tool for achieving the best possible return on Town investments. The benefits of competition in acquiring goods, supplies, services and construction from the private sector are well established. Competitive contracts can save money, improve contractor performance, and promote accountability for results.

Once the Department has identified a business need (see Phase 1. Planning for your Procurement above), a formal solicitation must be developed. Remember a solicitation can be a bid, request for proposal, or other procuring methods identified in this Manual.

Competitive Methods

Invitation to Bid.
The Invitation to Bid (ITB) shall be used when the Department is capable of specifically defining the specification or scope of work for which a contractual service is required or when the Department is capable of establishing precise specifications defining the actual commodity or group of commodities required. The bid solicitation serves as the basis for the contract(s).

Request for Proposal.
A Request for Proposal (RFP) is a solicitation whose associated award evaluation and vendor selection process is predicated on a best value evaluation, rather than strictly upon award to the lowest priced responsive and responsible vendor. This type of evaluation is a demanding process, and detailed guidelines have been developed to ensure such evaluations are conducted in an appropriate and accurate manner. Contract(s) can be awarded on responses to an RFP.

Requests for Information (RFI)
A Request for Information (RFI) is a written solicitation prepared and issued for the purpose of seeking information, comments, or reactions from the industry by a certain date and time. An RFI may be used during the market research phase of an acquisition to assist the Town in identifying potential proposers, approaches, prices, or other relevant information. The RFI precedes the issuance of a Request for Proposal or Request for Qualifications. Contract awards cannot be made on responses to an RFI.

Request for Qualifications (RFQ)
A Request for Qualifications (RFQ) is used to obtain statements of qualifications from proposers when the scope of services cannot, or has not, been completely established by the Town. This situation requires the identification of specific qualifications in order to evaluate responding proposers. A Request for Qualifications includes, but is not limited to, a brief explanation of the purpose of the RFQ, a description of the service to be purchased, required qualifications, instructions for response, and evaluation and selection criteria. Contract(s) can be awarded on responses to an RFQ.

Invitation to Negotiate
The Invitation to Negotiate (ITN) is a solicitation used to determine the best method for achieving a specific goal or solving a particular problem and identifies one or more responsive vendors with which the Town may negotiate in order to receive the best value. Contract(s) can be awarded on responses to an ITN.

Consultant's Competitive Negotiation Act (CCNA)
Construction projects based on design-build may be exempt from the competitive bid or competitive proposal requirements if they are based on a qualifications-based selection process. The Procurement Manager or designee shall be authorized to determine whether to use competitive bids, competitive proposals, design-build or "construction management at risk", subject to the requirements of F.S. § 287.055 and any other governing State law. At the conclusion of whichever process is selected by the Procurement Manager or designee, the procurement must receive the approval of the Town Administrator for those contracts which he or she is otherwise authorized to approve, or the Town Council for all other contracts.

The CCNA requires a Request for a Proposal for Professional Services. "Professional Services" means those services within the scope of the practice of architecture, professional engineering, landscape architecture, or registered surveying and mapping, as defined by the laws of the State [FS 287.055]. The Town of Davie Code Sec. 2-327. - Procurement of construction and professional design services. Accordingly, the Code requires that contracts for professional design services, including architectural, professional engineering, landscape architecture or registered surveying or mapping services must be procured in accordance with the Consultants' Competitive Negotiations Act F.S. § 287.055, as amended, in accordance with the requirements of section 2-3271(a)(2) of the Town's Code, ("Methods of source selection; Competitive sealed proposals") utilizing a qualifications based procurement process which shall not permit the use of price as an evaluation factor.

A Request for a Proposal for Professional Services that states the names of the projects and the specific time period may be used to set up CCNA Continuing Services Contracts. One example would be a request for architecture services that includes the 5-year Capital Improvement Program. These Continuing Services contract proposals are intended to be awarded to multiple firms that have equal qualifications for the professional service requested. Selection of the firm by project is made by availability and price negotiation in accordance with Florida Statutes.

<u>Procedure related to CCNA Continuing Contracts:</u>
Once a contract has been established and approved by resolution of the Town Council with each of the selected firms, departments will notify the selected firms in accordance with the disciplines they have been awarded when in need of their services. A department representative shall only contact one firm on the list at a time. Price shopping between firms is prohibited. The following steps should be followed when negotiating with Continuing Services Consultant.

1. The department will negotiate a Scope of Work (SOW) with the firm.
2. The department will have the Consultant provide a final SOW to the department representative; all SOW shall reference the original contract that was approved by the Town Council.

3. The department representative will determine if the SOW meets the Town's requirements and is within the department's budget.
4. If the SOW does not meet the requirements and budget and negotiations have not proven successful, the department shall notify and disengage with the Consultant. Once disengaged, the department shall repeat the above process until the representative has determined that they have negotiated the best SOW for the project and the Town.
5. Once a final SOW has been submitted, the department representative will forward the SOW to the department director for routing of signatures.
6. All SOW's shall be accompanied by a standardized approval form.
7. Once all signatures have been obtained, the department will send a copy of the SOW back to the vendor.

Developing the Specification or Statement/Scope of Work

Requesting Departments are the primary responsibility center in the preparation of solicitations to ensure that project or product specific requirements are adequately addressed in the solicitation document. Requesting Departments may also be involved after solicitation issuance in the conducting of pre-bid (or pre-proposal) conferences, and the preparation of any requisite solicitation addenda, as well as sit on selection committees.

Technical Specifications and Statement/Scope of Work
Technical Specifications and Statement/Scope of Work should be stated in terms of function, performance or design. The type of specifications selected is to be based on the requesting Department's minimum requirements and the market available to satisfy those requirements.

<u>Differences between Specifications and Statement/Scopes of Work.</u>
Specifications: Specifications emphasize the functional or performance criteria required to meet the Town's needs, such as specific quantities, qualities, materials, and the like. In very broad terms, Specifications are used in connection with Invitations for Bid, where contract award is determined solely on the basis of the lowest responsive and responsible bid offer.

Statement of Work: A Statement of Work is a written description in the contract detailing performance expectations and deliverables between the contracting parties. After a vendor has been selected, the statement of work becomes the basis for the contract and must provide sufficient information to meet the Department's needs and achieve successful outcomes, describe and define the expectations of the parties, set price and payment schedules, and mitigate or avoid disputes.

Scope of Work: A Scope of Work is a written description of the result that the Town seeks to achieve upon contract completion. The Scope of Work describes "what" needs to be accomplished by the successful vendor as opposed to "how" the successful vendor shall do the work. In very broad terms, a Scope of Work is used in connection with a Request for Proposals.

<u>Importance of Specifications and Statements/Scopes of Work.</u>
From a contractual standpoint, the Specifications and Statement/Scope of Work serves as one of, if not, the most important contract component. It is attached to and incorporated into the contract as an exhibit. It, more than any other contract term, establishes the expectations of the relationship

and is often the determining factor in resolving disputes over what work is or is not included in a project.

From the Town's perspective, the Specifications and the Statement/Scope of Work serves as the guideline for procurement planning, selection of the appropriate solicitation method, identification of the correct contract terms, and ultimately, dictates the quality of the final result.

From a potential vendor's perspective, the Specifications and the Statement/Scope of Work serves as the basis upon which to plan and prepare a responsive bid or proposal. It communicates the nature and scope of the work to be done so that the responsive bid or proposal can be specifically and appropriately submitted.

From a practical standpoint, the Specifications or the Statement/Scope of Work is required to initiate the Town's internal formal procurement process, which begins with an email to your Buyer for informal solicitations and for a Purchase Authorization Form to which all Specifications or the Statement/Scope of Work must be attached and concludes with the Budget and Finance Department's ability to pay a vendor's invoice.

Maximum Practicable Competition:
Each Specification or Statement/Scope of Work shall be prepared and drafted in a manner to ensure maximum practicable competition, promote overall economy for the purpose intended, and to encourage competition in satisfying the Town's requirements, and shall not be overly restrictive.

Preparation:
The requesting Department is responsible for preparing the Specifications or Statement/Scope of Work. The Procurement Division will work with Departments to ensure each Specification or Statement/Scope of Work is as thorough and accurate as possible.

Capital Projects: Specifications for capital projects, the Procurement Manager, in collaboration with the Department, determines whether or not the specifications shall be prepared internally or by contract with an architect/engineering consultant. If it is determined that the specifications are to be prepared using an outside architect/engineer, the standards required by the Consultants' Competitive Negotiations Act, F.S. § 287.055, as may be amended from time to time, will be used.

Vendor Assistance: Obtaining vendor assistance to write Specifications or Statement/Scope of Work is not common practice and should be avoided when possible because it may inhibit competition. If a vendor is involved in writing one of these documents, the vendor should be paid for the service and prohibited from submitting a bid or proposal in response to the solicitation. The Procurement Manager, with consent from the Town Attorney, may allow the vendor to submit a bid or proposal if it is in the best interest of the Town. If an exception is made and the vendor is allowed to bid, its role in preparing the specifications shall be disclosed to other vendors as part of the solicitation documents.

Specifications

Specifications emphasize functional or performance criteria while limiting design or other detailed

physical descriptions to those necessary to meet the Town's needs. Specifications provide the information critical to an Invitation for Bids, and the resulting contract.

The purpose of Specifications is to serve as a basis for obtaining an item or service that is adequate and suitable to meet the Town's needs in a cost-effective manner, considering, to the extent practicable, the costs of ownership and operation as well as initial acquisition costs.

Specifications shall be clear with accurate descriptions of sufficient detail to provide for suitable purchases, without being unduly restrictive, and shall minimally include, where applicable:

1. Functions and standards characteristics;
2. Materials and methods descriptions;
3. Preparation for shipment, delivery point;
4. Quality assurance and acceptance tests;
5. Warranties and service support requirements;
6. Product, supply and service specifications.

In developing a specification, the requesting department should consider the following factors:

1. Does it describe the needs in terms of function or performance required?
2. Does it clearly state the minimum requirements acceptable to the Town?
3. Does it indicate the end usage or expected results?
4. Is it clear, concise, and understandable?
5. Does it encourage competition by considering more than one source of supply?
6. Are standard specifications available?
7. Are the specifications tailored to more than one vendor?
8. If a specific brand and model are referenced, has the Department included the term "or approved equal"? If not, has the Department included a reason why an equal substitute is not acceptable?
9. Is there anything unusual to be considered?

Statement or Scope of Work

A Statement/Scope of Work is a written description of the required goods, supplies, services, or construction stated in terms of the result to be achieved. It describes "what" needs to be accomplished as opposed to "how" to do the work and is the key document in a Request for Proposals, and the resulting contract.

The purpose of a Statement/Scope of Work is to provide potential vendors with a clear, accurate, and complete description of the services to be acquired or the work to be performed. In terms of services, the Statement/Scope of Work explains the services that the winning vendor will provide on a particular project and the work that will be performed under a contractual agreement. In terms of supplies, the Statement/Scope of Work lists performance requirements, both qualitative and quantitative, and often references specifications, notices and drawings, if construction or design-related. The Statement/Scope of Work describes how the work will be divided, with specific tasks generally listed with their deadlines. The task descriptions may include methods used, including

inspections, test and acceptance, quality, support services required, critical timeline definitions, data and documentation desired, maintenance, and other necessary requirements.

Every Statement/Scope of Work should be expressly tailored for each specific requirement. There are, however, several common elements that should be addressed whenever applicable:

1. The Work: Describe the work sought, including any work plan, required deliverables, milestones, performance standards, and due dates.
2. Period of Performance: List the start and end date for the entire project as well as any other scheduling requirements.
3. Physical Location: Identify or describe where the work will be performed. If the place of performance is at a specific address, identify it.
4. Supplies and Equipment: List the supplies and equipment that will be required, used, and/or provided.
5. Payment Rate: Identify how the payment rate for the good or service will be determined; for example, by job, month, day or hour.
6. Acceptance Criteria: State the criteria the Town representative(s) will use to determine if the product or service is acceptable.
7. Special Requirements: Identify any special requirements that are required to successfully perform or complete the work, including for example, any anticipated or allowable price increase over the term of the contract, any special hardware or software, specific degrees or certifications, travel requirements, delivery expectations, or any other need not covered by the contract that are necessary to the success of the project.

Preference for Commercially Available Products.

To the extent practicable, preference shall be given to purchases of standard commercial products. In developing Specifications, accepted commercial standards should be used and unique requirements should be avoided.

Brand Name or Equal Specifications

"Brand name or equal" specifications may be used when the item to be procured is best described by the use of such a specification and when the Procurement Manager, in the planning phase, determines that it is in the best interest of the Town.

"Brand name or equal" specifications shall seek to designate as many different brands or "as equal" references as are practicable and shall further state any substantially equivalent products that will be considered for award.

Where a "brand name or equal specification" is used in a solicitation, the solicitation shall contain explanatory language that the use of a brand name is for the purpose of describing the standard of quality, performance, and characteristics desired and is not intended to limit or restrict competition.

Brand Name Specifications – Conditions for Use.
Since use of a brand name specification is restrictive, it may be used only when the brand name or

items will satisfy the Department's needs and the Procurement Manager determines in writing that:

1. No other design or performance specification or qualified products list is available.
2. Time does not permit the preparation of another form of product description, not including a brand name specification.
3. The nature of the product or the nature of the Town's requirements makes use of a brand name specification suitable for the procurement.
4. Use of a brand name is in the Town's best interest due to such concerns as standardization or compatibility with existing products used by other Departments.

"Brand name" only specifications should not be confused with the situation that arises if only one source can supply the requirement. When only one source can supply the requirement, the procurement shall be made under the Sole Source Purchase policy.

Where a brand name specification is used in a solicitation, the solicitation shall contain explanatory language that the use of a brand name is for the purpose of describing the standard of quality, performance, and characteristics desired and is not intended to limit or restrict competition.

Solicitation Advertisement

The Town shall publish all announcements and advertisements for solicitations falling within the procurement authorization levels in accordance with Town policies and procedures, and all related directives and ordinances.

Any competitive solicitation shall be made publicly available, and it must include:

1. Time, date, and location for the receipt of bids, proposals, or replies,
2. Time, date, and location of public opening,
3. All contractual terms and conditions applicable to the procurement,
4. Criteria to be used in determining acceptability and relative merit of the bid, proposal, or reply.

Pre-bid and Pre-proposal Conferences

A pre-bid conference shall be scheduled for Invitations to Bid where it is deemed advisable to allow potential proposers to consult with Procurement staff and the requesting department(s) to ensure clarity of the required goods, supplies, services and construction, terms and conditions, and, if applicable, to view the site where the work is to be performed.

A pre-proposal conference shall be scheduled under all Requests for Proposal solicitations, when appropriate. This conference shall be scheduled roughly in the middle of the solicitation period to allow enough time for vendors to prepare for the conference, and to consider the information provided during the course of the conference.

Attendance at Pre-bid and Pre-proposal conferences by vendors is generally optional. However, vendor attendance at such conferences may be made mandatory depending upon the specific

requirements of the project. Mandatory conferences may serve to limit competition and shall be the exception to the procedure. The "Cone of Silence" is not applicable during pre-bid and pre-proposal conferences and/or site visits.

Addenda to Solicitation Documents

There may be occasions when it will be necessary to change the specifications, statement/scope of work, terms, or conditions of a given solicitation during the course of the bid or proposal period. Such changes may be required in response to requesting department requests or clarifications, contractor questions (submitted in writing consistent with provisions for the "Cone of Silence"), or other reasons. Such changes shall be formalized by the issuance of solicitation addenda by the Procurement Division that shall be made available to all potential vendors that have obtained the solicitation document. The addenda become part of, and supersedes, the solicitation document.

Opening of Bids and Closing of Proposals

Sealed bids under the Invitation to Bid process shall be opened by the Procurement Division staff at a designated location, date and time specified in the solicitation or any subsequent addendum. Proposals submitted under the Requests for Proposal process shall be opened at the time and place specified in the solicitation or any subsequent addendum. No further bids or proposals from a given vendor shall be accepted after the first bid or proposal from that vendor is opened or unless otherwise provided under local preference or allowable best and final offer (BAFO).

Late Bids or Proposals

The Town shall not accept late bids or proposals. All late bids or proposals will be returned to the sender unopened.

Formation and Performance of Evaluation/Selection Committees

The Procurement Manager, or designee, in consultation with the requesting department, is responsible for the review of all proposals for responsiveness before distributing them to the Evaluation or Selection Committee. A proposer is considered responsive if the proposal conforms in all material respects to the terms and conditions in the solicitation.

Evaluation Committees
An Evaluation Committee shall be established for all formal solicitations that do not fall under the Consultants' Competitive Negotiations Act (F.S. § 287.055). For CCNA committees, please refer to Selection Committees described below.

There will typically be an odd number of voting committee members.

The Procurement Manager or designee, in consultation with the requesting department, will review the composition of the committee.

Evaluation Committee Team Members
Each member must have no personal or financial interest in any vendor which has submitted a proposal to the Town.

Each member must have a professional interest that the recommendations of the Committee can be supported and defended legally and ethically.

Each member must have a professional interest that the recommendations of the Committee will lead to the selection of a vendor which will provide goods, supplies, services and construction that is the best value for the Town.

The Procurement Manager, or designee, shall serve as the Evaluation Committee facilitator, and may not rank bids or proposals.

Initial Meeting of the Evaluation Committee
The Procurement Manager, or designee, shall conduct an initial meeting (Kick-Off Meeting or provide a training video) with the Evaluation Committee members to ensure that each member has a clear understanding of their duties and responsibilities in the selection process. A copy of these guidelines, the solicitation and any addenda, each proposer's submittal, and a copy of the evaluation criteria shall be distributed to the Committee members.

Conflict of Interest
Once all bids or proposals have been received, and it is known which proposers are involved in the evaluation competition, each member of the Evaluation Committee will be informed. Each member will indicate 1) if the member has a personal or financial interest in any proposer, and 2) if the member understands and can perform impartially within the Evaluation Committee guidelines. If a conflict of interest exists or appears to exist, that member will be disqualified from the Committee.

Committee Rules and Procedures
All evaluators on the Evaluation Committee are required to apply sound and unbiased judgment in ranking bids or proposals.

The Town of Davie uses the "Best Value Method" for evaluating solicitations. This method provides for establishing evaluation criteria to be considered as a whole instead of individually. Each evaluator will take into consideration all criteria when determining the top ranked or best overall proposer. The evaluators will score using an ordinal ranking system that is explained in the solicitation. Ordinal ranking allows the evaluator(s) to assign a ranking of the number 1(one) to the top ranked vendor or firm taking into consideration all the evaluation criteria in totality. The evaluator will further rank subsequent vendor or firms accordingly with a 2 (two), 3 (three) or 4 (four) depending on how many firms submit responses. In the event of a tie, the committee will reconsider their scores and an evaluator may choose to change a score after further deliberation. The committee may also choose to award to multiple firms in prequalification pools solicitation.

It is very important that all Evaluation Committee members read the solicitation thoroughly and have a clear understanding of the requirements and evaluation criteria before attempting to

evaluate the proposals. All questions should be directed to the Procurement Manager or designee.

The Evaluation Committee meetings must follow the requirements of Florida Statute 286.011 for public meetings and meetings must be noticed at least 72 hours in advance. These meetings are open to the general public, which may include proposers which have submitted responses to the Town's solicitations. Meetings will be recorded, and will be made available for the general public to listen to via the Town's website or upon scheduling an appointment with the Town Clerk's office.

Evaluation Committee members are prohibited from communicating with anyone, either verbally or in writing, regarding the proposals, outside of the scheduled and publicly noticed Evaluation Committee meetings. Violations of FS 286.011 are very serious and have legal and ethical ramifications. If a vendor or proposer contacts a Committee member, the member must refer the vendor or proposer to the Procurement Manager or designee. Evaluation Committee members are prohibited from participating in individual meetings, informal consultations, lunches, entertainment or any other direct or indirect contact with vendors or proposers.

After receipt of proposals, each Committee member must review and evaluate each proposal independently, without discussing their evaluation with other Committee members until the Committee meets at an open public meeting.

Evaluations must be based on the criteria established in the solicitation. All criteria must be considered.

Evaluations may be both qualitative and quantitative based on the evaluation criteria outlined in the solicitation. All scores and comments become part of the solicitation and contract file and are subject to disclosure under the Florida Public Records Law. Committee members should have a reasonable, rational, and consistent basis for their scores, and be prepared to explain their scores in the event of a protest or inquiry.

Prior to the Evaluation Committee meeting in a public forum, any questions, clarifications, or additional information requested from a proposer or by a Committee member must be submitted in writing to the Procurement Manager, or designee. The Procurement Manager, or designee is responsible for obtaining a written response from the proposer and sharing the response with all Committee members prior to the first publicly advertised meeting.

After the Evaluation Committee members have completed the initial review of all proposals, the Committee will openly discuss the proposals at the publicly posted meeting. Members will initially score based on their interpretation of any information gained from the Committee's discussions. Members may adjust their scores in response to discussions subsequent to the initial scoring. After all discussions have been completed each Committee member shall finalize their scores, where final rankings are based on majority rule. Each member is required to sign the score sheet and any notes pages and submit them to the Procurement Manager or designee as part of the public record.

Score sheets will be tabulated and ranked from the lowest to the highest by the Procurement Manager, or designee.

Depending on the outcome of the scoring, the Committee will recommend one of the following:

1. Award the contract to the best overall ranked proposer; or
2. Short-list the top ranked proposers which may lead to scheduling oral presentations

If the Committee recommends awarding the contract to the best overall ranked proposal, no further action is required by the Evaluation Committee.

If oral presentations or clarifications are requested, the Evaluation Committee shall identify which proposers will be asked to provide oral presentations. The Committee may request oral presentations from as many proposers as necessary; however, it is recommended that the Committee come to a consensus and request presentations only from the top-ranked proposers.

When oral presentations or clarifications are requested by the Committee, the members shall submit a written request to the Procurement Manager or designee for specific areas needing additional explanation and/or clarification or any other information the Committee would like the proposers to provide during the oral presentations.

All proposers selected for clarifications will be notified in writing by the Procurement Manager or designee, identifying the specific questions or information requested by the Evaluation Committee. Once received, Proposer's responses will be provided to the Evaluation Committee members

All proposers selected for oral presentations will be notified in writing of the publicly posted meeting by the Procurement Manager or designee, identifying the date, time, location, with a uniform script listing the specific questions or information requested by the Evaluation Committee to be addressed at the presentation.

Prior to the oral presentations, the Procurement Manager or designee will provide the evaluation criteria and score sheets to the Evaluation Committee.

During the oral presentations, Committee members may ask questions of the proposers for a clear understanding of each proposer's position.

After oral presentations are completed or clarification responses received , the Committee shall reconvene in an open publicly announced meeting where they will have the opportunity to continue discussions among themselves. After discussions are completed, each member shall finalize their scores. Each member is required to sign the score sheet and any notes pages and submit them to the Procurement Manager, or designee as part of the public record.

Score sheets will be tabulated and ranked from the lowest to the highest by the Procurement Manager, or designee. The award recommendation will be for the proposer with the best overall ranked score.

The Procurement Manager or designee shall work with the requesting department on a recommendation to award for processing through the Town Administrator and/or the Town

Council, as appropriate.

Florida Statutes require that all internal workings of the Evaluation Committee be kept confidential until the Committee has completed its work and all proposers have been officially notified of the selection.

Selection Committee for Consultants' Competitive Negotiations Act

As defined in Florida Statute, a Selection Committee (also known as the Selection Advisory Committee) is created for the purpose of evaluating firms who express interest in contracting with the Town for professional services for projects subject to the requirements of the Consultants' Competitive Negotiations Act, F.S. § 287.055, as may be amended from time to time.

The Selection Committee (SC) shall be comprised of the Procurement Manager or designee, who shall be the Chairperson of the SC and facilitate the committee process. The Procurement Manager, or designee, in consultation with the department director shall select other SC members, who will have voting privileges.

All minutes of the meetings of the SC shall be promptly recorded and the records shall be open to public inspection in accordance with the provisions of Florida's Public Records laws, as may be amended.

Selection Procedure
The SC shall evaluate the statements of qualifications submitted by all proposers, shall conduct discussions with, and may require presentations by no fewer than three firms regarding their qualifications, approach to the project, and ability to furnish the required services; however, if less than three (3) proposals are received, the SC may interview or consider those firms submitting responses. All expenses, including travel expenses for interview, incurred in the preparation of the proposal shall be borne by the proposer. After presentations and interviews have been completed, the SC shall rank all responses and determine the response that is most advantageous to the Town.

The ranking of firms shall be based on the SC's ability to differentiate qualifications applicable to the scope and nature of the request for proposals. Such determination shall be based on, but not limited to:

1. The proposer's demonstrated understanding of the Town's requirements and plans for meeting those requirements.
2. The professional qualifications, related experience and adequacy of the personnel assigned to the project.
3. The prior experience and references of the proposer.
4. The prior experience, if any, that the proposer has had with the Town of Davie.
5. The local preference and small business policies of the Town of Davie.
6. All other statutory requirements of the Consultants' Competitive Negotiation Act as applicable to the specific procurement, including whether the firm is a certified minority business enterprise as defined by the Florida Small and Minority Business Assistance Act of 1985.

Upon reaching consensus on the recommendation by the SC, the Town shall negotiate with the number one ranked firm, and upon completion of negotiations, shall make a recommendation to the Town Council for contract award. If negotiations are not successful with the number one ranked firm, the Town shall negotiate with the next top ranked firm.

Responsiveness and Responsibility Determinations

The Town shall award its contracts to the responsive, responsible vendor offering the best value, and whose offer or proposal is technically compliant with the Town's requirements. Award shall be made to the bidder or proposer offering the lowest price, being the top ranked, or as otherwise prescribed in the solicitation or by prevailing legislation. The use of the term bidder/proposer shall be understood to include any participant in the Town's procurement process and the term bid/proposal shall be understood to include any offer in response to a solicitation. The following is intended to be used as general guidelines:

1. Responsive: Bidder/Proposer responsiveness refers to a bidder/proposer's unequivocal promise, as shown on the face of its offer, to provide the items or services called for by the material terms of the solicitation. A responsive bid/proposal means one submitted at the correct time and place, in the correct format, containing all required information, signatures, and affidavits. A bid/proposal that deprives the Town of the assurance that the contract will be entered into in accordance with its terms is not responsive. Any omission is normally not curable, as a bidder/proposer submitting an incomplete or qualified bid/proposal could opt in or out of the process at its will, depriving the Town of a valid offer and placing that bidder/proposer at a material advantage over others who have made firm offers.

   The determination of responsiveness is based on the application of bid/proposal requirements and legal precedent to facts provided by Town staff or developed in the course of a bid/proposal protest. The Procurement Manager or designee has the authority to decide whether a bid is responsive or non-responsive and will seek consultation with the Town Attorney if further determination is needed.

2. Responsible: Bidder/Proposer responsibility refers to whether the bidder/proposal can perform as provided in the bid/proposal. In general, solicitation requirements for information relating to a bidder/proposer's financial condition, capability, experience and past performance pertain to a bidder/proposer's responsibility. The term responsibility is not limited in its meaning to financial resources and ability. Under its definition, the Town has discretionary power to make determinations upon the honesty and integrity of the bidder/proposer necessary to a good faith performance of a contract, upon a bidder/proposer's skill and business judgment, its experience and its facilities for carrying out the contract, the bidder/proposer's previous conduct under other contracts, and the quality of its previous work. The type of information bearing on a bidder/proposer's ability to perform may be furnished up to the time of recommendation to award.

In the event the Town has knowledge of facts which may exist that would render a bidder/proposer

non-responsible, the Procurement Manager shall conduct a responsibility review and inquiry as may be reasonably required to make the affirmative finding of responsibility as a condition of recommending the bidder/proposer for award. Town departments shall advise in a timely manner, the Procurement Manager, of knowledge of any facts that may render a bidder/proposer non-responsible. Given the variety of goods, supplies, services and construction purchased by the Town, and the unique issues that may arise, the issues of responsibility must be addressed on a case-by-case basis.

A determination of bidder/proposer responsibility shall be made, on a contract-by-contract basis. A responsible bidder/proposer is a bidder/proposer who the Town affirmatively determines (prior to the award of a contract) has the ability, capability and skill to perform under the terms of the contract; can provide the materials or service promptly within the time specified, without delay or interference; and has a satisfactory record of integrity and business ethics.

In making the determination of whether the bidder/proposer has the capability to perform the contract the Town may consider factors including, but not limited to, the following:

1. Past performance of the bidder/proposer, its principals, affiliates, or supervisory personnel in the execution of prior Town contracts.
2. Any information which the Town may obtain relating to the performance of the bidder/proposer, its principals, affiliates, or supervisory personnel on contracts with third parties, including without limitation, contracts with other governmental entities.
3. Financial performance and capability, including without limitation, pending and unsatisfied claims.
4. Qualifications and past performance of the personnel who will have supervisory responsibility for the performance of the specific Town contract.
5. Licensing, certifications, and other permits.
6. Any significant changes in the bidder/proposer's financial position or business organization.

In making the determination whether the bidder/proposer has a satisfactory record of integrity and business ethics, the Town may consider factors including, but not limited to, the following:

1. Pending criminal charges against the contractor, its principals, affiliates, or supervisory personnel.
2. Criminal conviction of bidder/proposer, its principals, affiliates, or supervisory personnel.
3. Debarment of the bidder/proposer, its principals, affiliates, or supervisory personnel in the Town of Davie or any other jurisdiction.
4. Pending disciplinary proceedings against the bidder/proposer, its principals, affiliates, or supervisory personnel.
5. Pending enforcement cases, civil judgments, citations, or notices of violation of regulatory authorities with jurisdiction over the goods, supplies, services and construction to be rendered, or any adverse determination resulting therefrom, including, but not limited to, those related to environmental protection, the health and safety of labor, and determinations by any government entity.
6. Pending investigation related to, or arising from allegations of dishonesty, illegal, or

fraudulent business practices.

7. Evidence by the bidder/proposer to correct any breach of prior contracts, and compliance with settlement agreements to redress any contract deficiency.
8. Inaccurate, incomplete, or fraudulent accounting practices.
9. Evidence by the bidder/proposer to remediate any of the adverse conditions mentioned herein, including compliance with the terms and conditions of any compliance agreement.
10. The preponderance of the evidence, nature and credibility of any and all facts underlying any of the above-cited investigations, allegations, charges, accusations, proceedings or indictments.

In evaluating the factors above, the Town shall give priority to acts or legal proceedings occurring within the past five (5) years, and any violation or deficiency that is continuous or uncured. Additionally, at any time, the Town may require that the bidder/proposer submit documentary evidence and other proof necessary to evaluate the factors identified above.

The Town shall be entitled to rely on information of the type upon which reasonable persons rely in the conduct of business affairs. If the bidder/proposer is unable to furnish such documentary evidence or other proof, or if the Town is otherwise unable to make an affirmative determination that the bidder/proposer is responsible to perform the work as required, the bidder/proposer shall be determined non-responsible. Failure of the bidder/proposer to provide requested information to determine responsibility in response to a solicitation may cause such bid/proposal to be rejected.

Generally, bidders/proposers are responsible for determining the responsibility of their prospective subcontractors. Determinations of prospective subcontractor responsibility may affect the Town's determination of the prospective bidder/proposer's responsibility. A bidder may be required to provide written evidence of a proposed interest to do so, and the Town may directly determine a prospective subcontractor's responsibility. In this case, the same standards used to determine a bidder/proposer's responsibility shall be used.

In addition to responsiveness and responsibility determinations, the Procurement Division, in collaboration with the Town requesting department, shall ensure that the goods, supplies, services and construction to be procured are technically compliant with the specifications and requirements of the Town's solicitation. The requesting department (or consultant, as may be the case) shall act as subject matter experts in determining whether the offered goods, supplies, services and construction are technically compliant with the specifications of the solicitation.

Tied Bids/Proposals

If all bids received are for the same total amount or unit price, quality and service being equal, the contract shall be awarded based on the following criteria to be considered in the following order of priority:

1. A local bidder with a primary business location within the Town of Davie.
2. A local bidder with a primary business location within Broward County.
3. A bidder with a primary business location within the State of Florida.

The Town may split the award of a contract when it is to the Town's best interest.

When all other potential remedies have been exhausted, the tie bid may be resolved by lottery. Such lottery or coin toss shall be conducted by the Town Administrator or designee and shall be open to the public.

Rejection of Bids or Proposals

The Procurement Manager, Town Administrator, or designee may reject any and all bids or proposals or parts of all bids or proposals when such rejection is in the best interest of the Town. A bid or proposal may be rejected if any of the following conditions exist, but not limited to:

1. The bid or proposal does not conform to the technical specifications and/or solicitation documents.
2. Insufficient financial resources and/or lack of technical ability, physical capacity and/or skill of the vendor to perform the contract or the service required.
3. Inability of the vendor to perform the contract or provide the service within the time specified without delays or interference.
4. Previous and existing non-compliance by the vendor with laws and ordinances relating to the contract or services.
5. Inadequate quality or performance on previous contracts for supplies, services and/or construction.
6. Vendor has been declared to be in default on any Town or public entity contract, suspended or debarred by any public entity.
7. Taking exceptions to the terms, conditions and specifications of the bid or proposal.
8. Non-conformance with minority business and/or disadvantaged business enterprise provisions and requirements, where applicable.
9. When the Town determines that the price quoted is not fair and reasonable or does not meet the Town's established budget.
10. Insufficient competition.
11. Any other cause in the best interest of the Town.

No Bids or Proposals Received

If no bids or proposals for goods, services, supplies or construction are received, the Procurement Manager shall have the authority to negotiate terms and pricing with firms which provide the goods or services sought but did not respond.

Offer (Bid or Proposal) Requirements

Each offer shall meet all the requirements of the specific solicitation, unless waived as an irregularity or informality by the Procurement Manager or designee so long as it does not impact the competitiveness of the solicitation and/or is in the best interest of the Town.

Recommendation for Award

Recommendation for award(s) within the purchase authorization levels shall be made to the lowest responsive and responsible vendor(s) whenever possible (note: the RFP process is based on a "best value" evaluation). The Procurement Manager, Town Administrator or designee, and Town Council subject to further delegation of authority, shall have the authority to recommend and award such contracts. All such awards shall be completed in accordance with the Town's Code of Ordinances and policies and procedures.

Protests, Appeals, and Remedies

This section applies to protests by bidders and proposers regarding claims made by contractors holding a Town contract and shall only apply to protests by bidders or offerors when the Town Administrator awards or recommends a purchase in excess of the Town's formal competitive threshold as established in subsection the Town Code Section 2-319. See section 2-328 of the Town Code for further information on this process.

Offer Guarantee, Performance and Payment Bonds, and Insurance Bid or Offer Guarantee

A bid deposit to guarantee the vendor's intention to enter into a contract with the Town, not to exceed ten percent (10%) of the estimated total bid price, may be required by the Procurement Division. If a bid or offer deposit or bid or offer bond is required, it shall be in the form and amount specified in the solicitation.

Performance and Payment Bonds
The Procurement Division may require performance and payment bonds from the vendor selected for contract award in such amounts as may be deemed reasonably necessary to protect the best interests of the Town. The bonds shall be in the form supplied by the Town (no other form will be accepted) and in the amounts required by the solicitation.

Insurance
The Procurement Division or the Town's Risk Management division may require insurance coverage from the vendor selected for award as may be deemed reasonably necessary to protect the best interest of the Town. The insurance coverage shall be in the form and amount(s) as required by the solicitation.

Awards may be contingent upon submission of required insurance coverage and performance and payment bonds. If the vendor selected for award fails to fulfill these requirements, the following default actions will be followed.

1. For contracts up to $65,000, the Procurement Manager or Town Administrator or designee may render the vendor in default, re-award the contract to the next lowest responsive/responsible vendor and subject the defaulted vendor to re-procurement charges and/or to forfeiture of the bid/offer bond, and/or security in an amount equal to the damages sustained by the Town as a result of the default.
2. For contracts greater than $65,000, the Town may re-award to a new vendor who participated in the solicitation but was not awarded any portion of the contract. The Town Administrator will obtain the approval from the Town Council.

Phase 3: Managing the Contract

The purpose of any contract, between the Town and a vendor, is to define the parties' responsibilities with respect to identifying the criteria necessary for project success. Ultimately, the purpose of contract management is to ensure that the requesting Department receives the right material/service at the right quantity of the right quality at the right time at the right place, to do this within the budget and without claim. Good contract management requires diligence to make sure the vendor is performing consistent with the contract, from the moment the contract is awarded through final acceptance and contract close-out.

What is a Contract?

A contract can be as simple as a verbal agreement, or it can be a complex multistage contract. According to the National Institute of Government Purchasing (NIGP) Dictionary of procurement Terms, a contract is defined as:

1. An obligation, such as an accepted offer, between competent parties upon a legal consideration, to do or abstain from doing some act.
2. A legally binding promise, enforceable by law.
3. An agreement between parties with binding legal and moral force, usually exchanging goods or services for money or other considerations.

The purpose of this section is to help employees navigate what the Town of Davie considers a contract and requires legal review through the Contract Summary and Routing Process. This information is provided to be a guide and is not intended to cover every situation. If you are unsure if an item is a contract, it is best to ask first before proceeding and committing the Town to something that may be problematic.

It is important to note that vendors have become more protective in their sales process due to higher potential of litigation. As a result, the Town often receives vendor quotes that have terms and conditions which may be problematic for the Town.

There are some major distinctions in business terms vs. legal terms and how they affect the Town legally. Business terms typically spell out how, when, where and who does what in an agreement. For example, where an item is to be delivered or what will be provided by whom on what day or time. Legal terms are more complex and deal with items such as indemnification, hold harmless, venue or limitations of liability. These terms have a much larger impact on the Town and require the attention of the Town Attorney's Office to review them to ensure the Town is not jeopardizing its legal and financial liability.

Below are some terms that will help you to identify what is a contract versus a simple proposal.

- Contract
- Agreement
- Liability

- Disclaimer
- Cancellation
- Termination
- Indemnification
- Governing Law
- Limitations of Liability
- Liability of Seller
- Force Majeure
- Assignment
- Entirety of Agreement
- Risk of Loss

When receiving quotations that have the above term(s), the first thing to consider is "do we have a preexisting contract with this vendor"? If so, you should ask the vendor to remove the terms and conditions since our agreement should already have these agreed upon provisions. If the vendor cannot remove them because of corporate policy, then have the vendor stipulate on the quote or in writing that the terms and conditions of the Town's agreement or piggyback agreement will prevail and have them cite the contract number. For example, "The terms and conditions of this quotation are subject to the Town of Davie's contract number ITB-RM-22-01 and prevail over all other terms and conditions." This will provide the Town with protection from extraneously imposed terms that were not identified in the original agreement with the Town or any piggyback contract we are using.

If the Town does not have an agreement with the vendor, you should ask the vendor to remove the terms and conditions. If they cannot or will not remove them, then you will need to complete a Contract Summary and Routing Process Form and follow the required process. If the Town Attorney's Office has concerns with any conditions, they will advise their concerns and provide their recommendations. If the vendor fails to agree with those recommendations, then the Town will need to evaluate the risk and make a business decision to either go to another vendor or to enter into the agreement with the vendor's set terms.

One thing to consider when making this business decision is the Town's Sovereign Immunity. This is a protection that provides a maximum liability to the Town and when we waive these conditions, we are jeopardizing the Town's legal and financial position in any potential future lawsuits. Therefore, it should not be treated lightly when making the decision to proceed without considering these factors.

The above pertain to all procurements, no matter the dollar amount. Also, in accordance with the Town Code of Ordinances Section 2-319, only the Procurement Manager, Town Administrator or Mayor have the authority to sign agreements, unless explicitly otherwise approved.

If you have any questions or concerns, it is always best to consult either the Procurement Division or the Town Attorney's Office before proceeding with any procurement.

The Contract Management Process

Contract management involves two processes: proactive contract management and reactive contract management. The proactive process includes post-award meetings, establishing a quality assurance program, monitoring and surveillance of the vendor, inspection and acceptance of the material/service, and payment. The second process, which typically runs simultaneous with proactive contract management, is reactive. Reactive contract management includes activities that deal with changes or problems that occur during contract performance such as, modifications, dispute resolution, contract interpretation, and, including but not limited to termination. The extent of performance of each activity will vary given the size, scope, and complexity of the contract and the terms and conditions that apply.

Proactive Contract Management

An excellent proactive step is for departments to develop a contract administration plan (CAP). A CAP is an essential component in vendor performance monitoring and evaluation because it provides a systematic way for ensuring that all elements in the contract have been satisfactorily delivered.

A CAP typically includes the following elements:

1. Identify and document each contract deliverable including delivery time, quantity, quality, cost and place of delivery, as defined in the specification or Statement/Scope of Work.
2. Identify potential problems (risks), i.e. potential delays, insufficient quality, cost overruns, change orders.
3. Identify the method of evaluation on how acceptance will be determined for each deliverable (i.e. report, test, survey).
4. Develop a contract monitoring plan that identifies the type and level of monitoring necessary to monitor contract progress.
5. Incorporate the likely problems (risks) and develop a monitoring strategy that could minimize the occurrence of the identified problems.
6. Track the progress of contract deliverables and contract issues (typically through a contract management system, spreadsheet, or other electronic tracking applications).
7. Maintain information in a manner that is accessible to all members of the project team.
8. Conduct careful monitoring of vendor performance and maintain written records.
9. Identify the method and level of surveillance necessary to minimize problems.
10. Require and utilize progress reports, including vendor reporting requirements.
11. Conduct a "kick-off" or post-award meeting with the vendor and review the contract monitoring plan and establish an appropriate meeting schedule.
12. Have an internal plan to resolve any performance issues (Corrective Action Plan, Performance Fees).
13. Monitor all invoices to ensure they are accurate and in compliance with the agreement.

<u>Post-Award Meeting</u>

One of the best ways to avoid contract problems is have a discussion between all the parties involved to ensure that everyone understands the goals and the expected results of the contract, as well as performance requirements and administrative procedures that must be applied based on the

terms of the contract.

Determining Acceptance

Acceptance means all of the contractual obligations have been fulfilled. To determine acceptance a process must be in place to inspect, verify or test to ensure contract compliance. There are several options for inspection and testing. The type of inspection is dependent on the type of contract and the potential for problems.

Inspection ensures that the contract is fully performed by verifying that the product or service is received in the correct quality, price, quantity, and in a timely manner. After satisfactory inspection, the final acceptance and payment for the product or service can occur. Some examples of inspection techniques included:

1. Exception – Assumes product or service has been satisfactorily delivered unless a complaint has been filed.
2. After Delivery – Inspection occurs after delivery and prior to use.
3. In Process – This method is used to inspect items while work is in progress to ensure that the current production or "work-to-date" complies with specifications and contractual agreements
4. Final Inspection – The examination of an item or service to ensure conformity to all applicable specifications and requirements before making final payment.
5. Sampling – Examination of a small sample size to determine conformity to all applicable specifications and requirements.
6. Inspect invoices to ensure all pricing is correct and provides for all items received.

Quality Assurance (QA) and Contract Monitoring

QA is any planned, ongoing, or periodic monitoring activity that measures and confirms contractor compliance with the terms, conditions, and requirements of a contract. Some types of monitoring are:

1. Monitoring by Exception: No monitoring is done except in the case there is an end-user complaint. The product or services is assumed to be satisfactory.
2. Follow-up Monitoring: Occurs after a product or service is delivered
3. Random Monitoring: A direct or follow-up of the contractor's performance undertaken without the contractor's advanced knowledge over the course of the contract
4. Scheduled Monitoring: Specific dates or times are scheduled
5. Direct Monitoring: This method requires daily observation

Contract Surveillance

This method is used to document the activities that occur during contract performance. The data collected is useful in the event a dispute arises. Some examples are:

1. Observation Record

2. Complaint Record- Recording of complaints
3. Discrepancy Record
4. Unsatisfactory Performance Report
5. Summary Evaluation Report
6. Contractor Status Report
7. Surveys
8. Vendor Performance Forms

Contract Closeout

Contract closeout is a formal process for complex purchases such as construction and technology procurements. A checklist is developed which includes all matters that must be examined, validated, and officially closed to complete the contract and its records. Some checklist items include:

1. Resolution of claims and liens
2. Any required drawings, submittals, licenses or warranties
3. Verification of acceptance of deliverables

Payment

Payment may be made for supplies and services upon acceptance (and sometimes prior to acceptance) of some portion or all of the work required by the contract. Some types of payment mechanisms include:

1. Advance – Full or partial payment is issued after contract award and prior to completion of work.
2. Progress – Permit the contractor to submit invoices for payment as progress is made in performing the contract.
3. Milestone – Payments are made upon completion of mutually agreed milestones.
4. Final – Complete payment upon final acceptance of the project.

Reactive Contract Management

For any given contract, events often occur that require a reaction from the project manager, such as; modification requests, delays, contract interpretation, dispute resolution and termination. The written contract represents the legal agreement between the parties. It consists of several clauses that address how each of the contract management activities will be addressed. After the contract is signed, both parties should refer to the contract for direction on how to handle foreseen and unforeseen issues, conditions, and problems that arise during contract performance.

Modifications

A process must be in place to address how modifications to the contract will be handled. The process should include:

1. Process for determining if a change request is within the existing scope of work.
2. Process for determining the equitable adjustment for a change request.
3. Process for stopping work.

Delays

Unanticipated delays are one of the most common contract administration problems. The contract must address how delays will be handled. The process should include:

1. Identifying the existence of the actual or anticipated delay.
2. Determine if the delay will impact delivery or performance.
3. Determine fault, (excusable or non-excusable)
4. Determine the duration of the delay and/or the financial impact.
5. Determine appropriate action to resolve the problem.

Contract Interpretation

There may be times when one of the parties files a claim that the terms of the contract are not being followed, or if both parties assign a different meaning to a contract term or clause.

Dispute Resolution

During the course of a contract, disputes between the parties may occur. It is crucial that both parties agree ahead of time how disputes will be handed. The contract should contain a clause that details the applicable procedures on filing a claim, the rights and responsibilities of both parties for making a timely decision, and procedures for appeal of the Project Manager or Department Director decisions which are consistent with the policies and procedures established herein.

Termination of the Contract

The contract needs to describe how termination will be handled. There are two (2) types of contract termination options.

1) Termination for Convenience: The Termination for Convenience clause allows either party to terminate a contract without cause and limits the contractor to recovering costs and profit on work completed and in preparation of the termination settlement. The contractor is not allowed to recover any anticipated profits that will not be realized as a result of termination.

2) Termination for Default: Despite the use of clear, progressive steps in contract monitoring, it is possible that default may occur. It should be understood that contract termination is always problematic and very risky and termination for default has serious consequences for both parties. If the contractor is found to be in default, there may be financial consequences. The process should include:

1. The determination of whether there is a breach of contract by either party

2. Procedural notification requirements.

Successful project completion does not happen by accident. A successful project requires both proactive and reactive contract administration. To meet the project goals, a proactive contract administration plan outlining the steps for success must be developed. After the contract is awarded, the project manager must be adept at dealing with and reacting to situations that typically occur during contract performance.

Request to Modify a Contract or Purchase Order

When a requesting Department requires a change to a purchase order or to modify a contract, the request must be submitted to the Procurement Division for review and approval. Before submitting a request to modify a purchase order or contract, the requesting department should review the following conditions:

1. Valid requirements have been established;
2. All appropriate departmental approvals are secured;
3. Funds are available to cover the amendment; and
4. Appropriate justification is included with the request package.

The requesting Department shall submit its request, together with all supporting documentation, to the Procurement Division for review and determination as follows:

1. Justification and/or explanation for request to modify the purchase order or contract.
2. Any other supporting documentation as may be applicable.

Modifications and change orders to contracts and purchase orders require approval at the established authorization levels. Requesting departments may not proceed with any action on modified contracts or purchase orders until approval has been received from the Procurement Manager, the Town Administrator, or the Town Council, as appropriate.

Change Order modifications are submitted via the Change Order Form. Purchase Order modifications are submitted via the Purchase Order Change Request Form.

Phase 4: Evaluating the Purchase

Monitoring and Reporting Vendor Performance

Vendor performance is any action or inaction by a vendor under a contract, purchase order or other binding agreement with the Town of Davie. Any action or inaction by a vendor, which does not comply with the contractual terms and conditions, will be considered nonperformance and is to be documented and reported to the Procurement Division. Sufficient documentation will be placed in the contract file. Nonperformance includes, but is not limited to, late or non-deliveries, substandard or unacceptable supplies and/or service levels, repetitive under or over shipments, and unauthorized subcontracting or contract assignments.

The requesting Department shall appoint a project manager, who shall be responsible for monitoring vendor performance as it relates to the terms and conditions of the contract(s) and/or purchase order(s) issued. Vendor nonperformance actions or inactions are to be documented on the Vendor Performance Form and reported to the Procurement Division for appropriate action aimed at correcting vendor performance, but may include placing the vendor on probation for a period of time, suspension from bidding on Town contracts, vendor debarment, and/or contract termination.

Action by Requesting Department

The requesting Department should convene a meeting with the vendor to help resolve problems, whenever possible. Should the vendor continue to not meet the requirements, the requesting Department should submit a memo or additional Vendor Performance Form to the Procurement Manager, and attach any available documentation to substantiate the problem, including a copy of any communications sent to the vendor or records of meetings (as applicable).

After receiving memo or the Vendor Performance Form, the Procurement Division will review the documentation to determine the appropriate course of action. This action may include calling the vendor, sending the vendor a “Notice to Cure”, or scheduling a meeting with the vendor.

Where progressive steps aimed at correcting vendor performance have proven futile, the Procurement Manager may hold a meeting to determine the next course of action. The vendor and the requesting Department shall be invited to this meeting, where the Procurement Manager or designee will act as a hearing officer. After listening to all parties, the hearing officer may:

1. Establish a probation period for the vendor to correct all noncompliance problems;
2. Terminate the contract for default;
3. Terminate the contract for convenience; or
4. Find no action necessary.

A copy of all written actions or documents will be provided to the requesting Department. The final decision and formal action will be filed in the contract file for future use in determining vendor responsibility in future award recommendations.

For contracts up to F.S. 287.017(2), the Procurement Manager may terminate the vendor for convenience or default in accordance with the relevant provisions of the contract. For all contracts, the Town Administrator shall have the authority to terminate all contracts for convenience or default in accordance with the relevant provisions of the contract and choose the best course of action to safeguard the interests of the Town.

Surplus Property

According to the Town of Davie's Code of Ordinances, all confiscated, unclaimed or abandoned property coming into the possession of the Town, or any property owned by the Town, which has become obsolete, or which has become inadequate for the public purposes for which it was intended, shall be disposed of by 1) public auction, 2) open competitive bidding, 3) direct sale, 4) trade, or 5) gifted.

Surplus tangible property

Determination that property is surplus. At least once annually, each department shall review Town inventory and make a determination of Town property that should be classified as surplus; however, at any time during the fiscal year a department may identify property as being surplus.

Disposition of surplus property. The Procurement Manager shall have the responsibility to dispose of any Town tangible property that exists on the official municipal inventory, that is obsolete, worn out, excess, scrapped, or not cost effective to repair.

Using departments shall submit to the Procurement Manager or designee, at such time and on such forms that may be prescribed, reports showing stock of all supplies which are no longer used or which have become obsolete, worn out, excess, scrapped or that are not cost effective to repair. The using department may suggest a dollar value per item or per lot of items; however, such suggestion shall not constitute the minimum sale amount.

The Procurement Manager shall have the authority to dispose of surplus property by the method or methods deemed to be most advantageous, convenient and economical to the Town. Methods of disposal of surplus stock may include, but not be limited to the use of competitive sealed bids, public auction, including internet auctions, established markets, sales at posted prices, or trade in for new equipment as may be prescribed for the individual situation.

Property that has been declared surplus that has an estimated value of greater than five thousand dollars ($5,000.00) shall be disposed of by authorization of the Town Administrator.

Property which has been declared surplus may be donated to an outside governmental or nonprofit agency at the discretion of the Town Administrator or designee. The Town Administrator or designee shall report any donations with an estimated market value of greater than five thousand dollars ($5,000.00) to the Town Council at its next regularly scheduled meeting.

Property which is in a wrecked, inoperative or partially dismantled condition, or which has deteriorated to the point that it has no apparent monetary value, or may pose a potential risk to the Town if disposed of through a sale, may be discarded as trash in an environmentally acceptable method, upon receipt of written approval by the Procurement Manager.

In the event that either the competitive sealed bid or public auction methods for disposal are used, notice of a proposed sale of property shall be publicly noticed by advertisement in a

newspaper of general circulation within the Town, or by electronic notice published on the Internet at least one (1) week prior to the scheduled sealed bid or auction. The property shall be available to prospective buyers for inspection in advance of the bid opening or auction.

Competitive sales of surplus property shall be made to the highest responsive and responsible bidder.

Purchase of Used Equipment

Used equipment may be purchased within the following guidelines:

Purchase from Other Agencies/Entities

The Department Director shall submit a written request to the Procurement Manager and Town Administrator requesting authority to negotiate the procurement of an item from another government entity. The request shall include:

1. An estimated cost and a maximum offer amount.
2. A justification for procuring used, rather than new equipment.
3. The result of an inspection by a mechanic or other qualified technician, indicating the condition of the equipment, estimated repair cost if not operational, annual maintenance costs, and expected life of equipment after acquisition by the Town.

If the maximum offer is more than FS. 287.017(3), the Town Council must approve a bid waiver.

If the maximum offer is F.S. 287.017(3) or less, the Procurement Manager and Town Administrator must approve the request in writing and indicate the approved maximum offer amount prior to the commencement of negotiations.

After approval, the Department Director shall negotiate a price with the governmental entity, not offering more than the maximum as approved above.

The Department Director shall prepare a purchase requisition as part of this procedure.

Appendix A: Glossary of Terms

The words defined in this section shall have the meanings set forth below and as they appear in the Town Code, unless:

1. The context in which they are used clearly requires a different meaning;
2. A different definition is prescribed for a particular article or provision or in the procurement manual, as amended periodically; or
3. Any definition herein contained that conflicts with Florida Statutes, the Florida Statute definition shall control.

Addendum/addenda means a formal written notification to prospective bidders or proponents which provides clarification of the requirements for a solicitation. Addenda are also used to summarize clarifications made during a pre-bid or pre-solicitation conference. Whenever a potential bidder/proponent requests information or a clarification regarding information that is not clearly referenced in a solicitation document, it is necessary to provide all bidders and proponents with the information in writing, using the addendum document.

Administrative policy means a formal written policy or procedural guideline which governs the operational process for carrying out various fiduciary functions of government on a Town-wide basis. Administrative policies are approved and issued by the Town Administrator, budget and finance director and/or human resources director.

Advertisement means a formal announcement of an invitation for a solicitation; usually placed in a newspaper of general circulation and/or on an Internet website.

Best and final offer (BAFO): In a competitive negotiation, the final proposal submitted after negotiations are completed that contains the proposer's most favorable terms for price, services and products to be delivered. Sometimes referred to as BAFO and utilized during the request for proposal method of procurement or when applying local preference under Town Code section 2-326.

Best value means the highest overall value to the Town based on relevant factors that may include, but are not limited to, price, quality, design, and workmanship.

Bid bond means a bid security in the form of a bid surety, certified check, cashier's check, or cash that ensures that the bidder will be capable of entering into a contract and subsequently provide the required performance and payment bonds within a specified period of time.

Business means any corporation, partnership, individual, sole proprietorship, joint stock company, joint venture, or any other legal entity.

Business day means a day, Monday through Friday, excluding any day that is a Town observed holiday.

Calendar day or "day" means a consecutive twenty-four-hour period running from 12:00:01 a.m. to midnight.

Category Two means the dollar threshold defined by F.S. § 287.017(2), as may be amended by the State of Florida from time to time, which shall serve as the formal solicitation threshold for purchases that exceed Category Two made on behalf of the Town of Davie. At the time of the adoption of this procurement code the statutory limit is $35,000.

Category Three means the dollar threshold defined by F.S. § 287.017(3), as may be amended by the State of Florida from time to time, which shall serve as the formal solicitation threshold for purchases that exceed Category Three made on behalf of the Town of Davie. At the time of the adoption of this procurement code the statutory limit is $65,000.

Change order means any written alteration or modification to a contract executed by the Town in accordance with the terms of the contract, directing the contractor to make changes due to unanticipated conditions or developments, which do not substantially alter the character of the work contracted for, and which do not vary so substantially from the original specifications as to constitute a new undertaking.

Construction means the process of building, altering, repairing, improving, or demolishing any facility, including any improvements of any kind to real property, including roadways, utilities, infrastructure, and facility site work. Construction does not include the routine operation, routine repair, or routine maintenance of any existing infrastructure facility, including structures, buildings or real property.

Construction manager-at-risk means a construction delivery process allowing the project owner to choose a construction manager who assumes the risk for construction, rehabilitation, or repair of a public facility at the contracted price as a general contractor and provides consultation to the Town regarding construction during and after the design.

Consultant's Competitive Negotiations Act (CCNA) means F.S. § 287.055, as amended, governing the procurement of architectural, engineering, land surveyor and mapping or landscape architect services.

Contingent or contingency contract means an agreement whereby the contractor's revenue is generated from a commission, percentage or other fee that is conditional upon the success that a person has in securing a contract or based on performance on a contract.

Continuing services agreement or contract means a contract for professional services entered into in accordance with F.S. § 287.055, as amended, whereby a firm provides professional services for projects in which construction costs, and costs for a study activity do not exceed the thresholds outlined in F.S. § 287.055, or for work of a specified nature as outlined in the contract required by the Town, with no time limitation except the contract must provide for a termination clause.

Contract means all types of Town agreements, regardless of what they may be called, for the procurement or disposal of materials, supplies, services, equipment, construction, and certain

contractual services between parties with binding legal and moral force, usually exchanging goods or services for money or other consideration.

Contract modification means written alteration in specifications, delivery point, rate of delivery, period of performance, price, quantity, or other provisions of any contract accomplished by mutual action of the parties to the contract.

Contractor means any person or business having a contract with a governmental body or that contracts to perform work or services or provides goods or supplies to the Town.

Contractual services means without limitation, the purchase of insurance, printing, gas, electricity, fuel, cleaning services; the purchase, installation, rental repair and maintenance of equipment and machinery, and other personal property; lease or real property and office space, and all other contractual supplies, materials and equipment and services not specifically excluded from the requirements of this article.

Data means recorded information, regardless of form or characteristic.

Debarment means the disqualification of a person or company to be awarded any contracts by the Town for a specified period of time commensurate with the gravity of the offense or the failure or inadequacy of performance.

Department means all or any of the Town's various departments or divisions.

Design-bid-build means a construction project delivery method in which the Town sequentially awards separate contracts, the first for architectural and engineering services to design the project and the second for construction of the project according to the design.

Design-build means a construction project delivery method in which the Town enters into a single contract for design and construction of an infrastructure facility as defined in F.S. § 287.055, (CCNA) as amended.

Designee means a person who is chosen to represent or given the authority to act on behalf of another person of authority.

Electronic means electrical, digital, magnetic, optical, electromagnetic, or any other similar technology.

Employee means an individual drawing a salary from a governmental body, whether elected or not, or from a public or private company or partnership.

Excess supplies (also see surplus property) means any tangible personal property having a remaining useful life but which is no longer required by the Town department in possession of the supplies.

Formal competitive process shall mean a bid or proposal which has been submitted in a sealed

envelope or secured method to prevent its contents being revealed or known before the deadline for the submission of all bids to ensure fair competition.

Governmental body means any unit or association of units of federal, state or local government, any public authority which has the power to tax, any other public entity created by statute and any other entity which expends public funds for the procurement of materials, supplies, services, equipment, construction and certain contractual services.

Grant means a contribution, gift, or subsidy made for specific purposes, frequently made conditional upon specific performance by the grantee.

Gratuity means a gift, payment, loan, subscription, advance, deposit of money, services or anything of more than nominal value, presented or promised, unless consideration of substantially equal or greater value is received.

Informal competitive process shall mean a bid or proposal which has been submitted in non-sealed envelope or unsecured method to prevent its contents being revealed or known before the deadline for the submission of all bids to ensure fair competition.

Invitation to bid (ITB) means a written solicitation for competitive sealed bids with the title, date and time of the public bid opening designated and specifically defining the commodity, group of commodities, or services for bids that are sought. Unless specifically authorized, no negotiation is permitted, and the contract award is granted to the lowest priced responsive and responsible bid, which conforms to the requirements set forth in the bid document.

Invitation to negotiate (ITN) means a written solicitation for competitive sealed replies to one (1) or more vendors with which to negotiate for the procurement of commodities or services.

Job order contracting (JOC) means a construction delivery method in which the Town awards a term contract agreement that provides for unit pricing for individual tasks of a project to provide construction services based on individual quotations prepared on a project-by-project basis. Unit pricing is normally predicated on the compilation of a task guide reflecting local construction market conditions where contractors bid a general discount or add-on factor.

Performance bond means a contract of guarantee, executed prior or subsequent to award by a successful bidder, to protect the Town from loss due to the bidder's inability to complete the contract as agreed. The bond ensures that the project will be able to be completed in the event that the bonded contractor defaults on their contract.

Person means any business, individual, union, committee, club, other organization, or group of individuals.

Piggybacking means the purchases of goods or services based upon contracts awarded by other governmental or not-for-profit entities by any formal competitive bid, selection process or negotiated process. The Town shall adopt the contract as its own agreement and shall not be associated or connected in any manner with the initiating agency that originally solicited the

contract. The Town may negotiate the terms of the contract to ensure legal sufficiency and protect the Town's best interests to the point in which it does not alter the originally intended products, pricing (unless further discounts are offered) or services. Once the other agency's active contract is used as the basis of a piggyback by the Town, the piggyback shall not be impaired by the future decisions or actions of the other agency.

Procurement means buying, purchasing, renting, contracting, leasing, or otherwise acquiring any supplies, services or construction including, but not limited to, all functions that pertain to the obtaining of any materials, supplies, services, equipment, construction, and certain contractual services, including description of requirements, selection and solicitation of sources, preparation and award of contract, and all phases of contract administration.

Procurement officer means the procurement manager who serves as head of the procurement division, which is established as the Budget and Finance/Procurement Division of the Town of Davie.

Professional services means services within the scope of a particular area of practice; such as the practice of architecture, landscape architecture, land surveying and professional engineering which are governed by F.S. § 287.055, the Consultants' Competitive Negotiation Act, as amended. Auditing services, which are governed by F.S. § 218.391, and other professions including, but not limited to, law, management consulting, medicine, real estate appraising, or other area of expertise or for which specialized training is required.

Public notice means the distribution or dissemination of information to interested parties using methods that are reasonably available. Such methods will often include publication in newspapers of general circulation, posting on a bulletin board, electronic or paper mailing lists, and web site(s) designated by the Town and maintained for that purpose.

Purchase request means a document whereby a Town department requests that a contract be entered into for a specified need, and may include, but is not limited to, the technical description of the requested item, delivery schedule, transportation, criteria for evaluation, suggested sources of supply, and information supplied for the making of any written determination required.

Request for Proposals or RFP (or competitive sealed proposals) means a written solicitation for competitive sealed proposals with the title, date and hour of deadline for submittal. The request for proposals is used when it is impractical for the agency to define a detailed scope of work. The request for proposal document is used to solicit proposals from potential providers for goods and services (offerors). Requests for proposals are evaluated on various criteria, which may or may not include price. When used as an evaluation factor, price may not be the primary evaluation factor, but the proposal document shall state the evaluation criteria. A request for proposal provides for the negotiation of all terms, including price, prior to contract award; and may include a provision for the negotiation of a BAFO. Requests for proposals may be a single step or a multi-step process with regard to contract award or Town Council approval.

Request for Qualifications or RFQ (Non-CCNA) means a competitive solicitation method whereby all vendors are invited to submit statements of qualifications and state their interest in

performing a specific job or service. From these statements of qualifications, the Town evaluates based on a set of predetermined criteria and determines which vendors shall be selected and the Town shall negotiate an agreement with the most qualified firm.

Responsible bidder or offeror means a person, business, not-for-profit entity, governmental entity or contractor who has the capability in all respects to fully perform the contract requirements and the experience, capacity, facilities, equipment, credit, sufficient qualified personnel, and record of timely and acceptable past performance that will assure good faith performance for a Town project or purchase.

Responsive bidder or offeror means a person, business, not-for-profit entity, governmental entity or contractor whose response to a bid or proposal substantially conforms in all material respects to the requirements and criteria set forth in the invitation or solicitation. This includes such aspects as following bid instructions for proper submittal, completing all necessary forms included with the solicitation, providing information required by the solicitation, and complying with all terms, conditions and specification requirements as enumerated in the solicitation.

Reverse auction means a procurement method wherein bidders, anonymous to each other, electronically submit decrementing (reduction of cost) real time bids simultaneously over a designated period of time on designated supplies or services.

Services means the furnishing of labor, time, or effort by a contractor, not involving the delivery of a specific end product other than reports which are merely incidental to the required performance.

Signature means a manual or electronic identifier, or the electronic result of an authentication technique attached to or logically associated with a record that is intended by the person using it to have the same force and effect as a manual signature.

Single source refers to a supply source for goods or services to which purchases are directed because of issues related to standardization, warranty, or other factors, even though other competitive sources may be available.

Sole source refers to a situation created due to the inability to obtain competition. This situation may result because only one (1) vendor or supplier possesses the unique ability or capability to meet the particular requirements of the user, or situations where only one (1) economically viable source is capable of providing the service or item that the Town seeks to purchase. Sole sources may be characterized by a marketplace where there is only one (1) vendor because items are patented or geographically franchised.

Specification means a precise description of the physical or functional characteristics of a product, good or construction item. A description of goods and/or services. A description of what the purchaser seeks to buy and what a bidder must be responsive to in order to be considered for award of a contract. Specifications generally fall under the following categories: design, performance, combination (design and performance), brand name or approved equal, qualified products list and samples. May also be known as a purchasing description.

Supplies means all tangible property, including, but not limited to: equipment, materials, and commodities required for ongoing operational Town requirements including, but not limited to, equipment, materials, printing, insurance, and leases of real property, excluding land or a permanent interest in land.

Surplus property means any tangible personal property or real property no longer having use to the Town. Surplus property includes obsolete supplies, scrap materials, and non-expendable supplies that have completed their useful life cycle.

Term contract or agreement means a contract in which a source or sources of supply are established to provide for needs for a specified period of time for specified services or supplies at an agreed upon unit price(s), percentage of mark-up, labor rate or discount off list price.

Town shall mean the Town of Davie, Florida, a political subdivision of the State of Florida.
Town council shall mean the legislative body of the Town as defined in section 7 of the Town Charter.

Using agency/department means any department, division, activity, agency, board, commission, or other unit in Town government that procures commodities, construction, or services which derive their support wholly or in part from Town funds as provided in this article.

Vendor means an actual or potential supplier of an item, service, or construction.

Written or in writing means the product of any method of forming characters on paper, other materials, or viewable screens, which can be read, retrieved, and reproduced, including information that is electronically transmitted and stored.

THE END